

Trinity Natural Capital Markets

Carbon Insetting & Offsetting Methodology

Version 1.1



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1. Executive summary

1.1 Contract types and credit status in the registry

The below shows a schematic summary of Trinity NCM's contract types ([spot](#), [forward](#) and [early action](#)) alongside the different [credit statuses](#) available in the [general registry](#).

1.1.1 Early action contracts

Registered & available for verification ([Ex-post](#)) → pre-verified ([Ex-post](#)) → verified & issued ([Ex-post](#)) → sold & retired ([Ex-post](#))

1.1.2 Spot contracts

Registered ([Ex-ante](#)) → available for verification ([Ex-post](#)) → pre-verified ([Ex-post](#)) → verified & issued ([Ex-post](#)) → sold & retired ([Ex-post](#))

1.1.3 Forward contracts

Registered ([Ex-ante](#)) → pre-validated ([Ex-ante](#)) → validated ([Ex-ante](#)) → available for verification ([Ex-post](#)) → pre-verified ([Ex-post](#)) → verified & issued ([Ex-post](#)) → sold & retired ([Ex-post](#))

1.2 Customer journey in 10 steps

- Project Managers sign up to Sandy and agree to the [SaaS package](#) that provides access to farm management, sustainability, profitability and traced provenance capabilities. The carbon credits module is part of the sustainability and profitability offerings.
- Every time they create a new spot or forward contract, Project Managers [sign an eligibility form](#) that includes the following:
 - a. A legal attestation for complying with certain standards, including [double counting](#), [leakage](#) and [additionality](#).
 - b. A warranties document (whose content varies depending on whether a landowner or tenant farmer has management control) and a consent form (signed by landlords and/or trustees).
- Project Managers follow an [onboarding process](#) the first time they sign up to Sandy (and, at any of the annual [Enrolment periods](#), if the Project Site acquires new land/cattle/fields/trees/etc.):
 - a. [Mapping](#) field and land use boundaries.
 - b. Providing historical operational data for one (or more) enterprise(s), such that:

- i. We recommend providing between 3-5 years worth of operational data to quantify the Baseline for a Mitigation Plan. The minimum is 1 year.
 - ii. At a bare minimum, Project Managers populate all mandatory fields.
- Once boundaries have been mapped and operational data has been provided, the next step for Project Managers is to assess their Baseline (i.e. their average carbon footprint for the past 3-5 years) and generate different types of contracts:
 - a. Project Managers can backdate credits through early action contracts (only when they sign up to Sandy for the first time):
 - i. If the Baseline is negative, Trinity NCM allows for up to a 5-year backdate, rewarding the most recent consecutive years that the site was Carbon Negative during the Baseline period.
 - ii. If the Baseline is positive, Trinity NCM allows for up to a 5-year backdate where there is a downward carbon trajectory, which we measure using one of these methodologies: either average carbon footprints or single carbon footprints (whichever methodology returns more early action credits in the latest year to mitigate the pervasive incentive of selecting a 2-year Baseline period to artificially generate more credits). We do it in an iterative fashion as we move backwards throughout the Baseline period.
 - b. Project Managers can create spot and forward contracts during onboarding or at any time during the annual Enrolment period.
 - i. The earliest date that the enrolled information will be made available for validation is on the 15th of September of every year.
 - ii. Notes regarding spot contracts:
 - 1. Mitigation Practices only take place during the Enrolment Period. Spot contracts are verified once the activities take place (i.e. Ex-post credits), but there is no need to validate the Ex-ante credits.
 - 2. A spot contract in this Methodology corresponds to an agreement between Project Managers and buyers to trade carbon credits on a delivery date that falls within the harvest year after the trade date. This is not strictly a spot contract as defined in the Trading Terms where the delivery date falls no later than two days after the trade date.
 - iii. Notes regarding forward contracts:
 - 1. Mitigation Practices take place during or after the Enrolment Period for a maximum of up to 10 years.
 - 2. Validation of Ex-ante credits is mandatory (in addition to verification of Ex-post credits).
 - 3. The Baseline and the price curve are fixed for the duration of a forward contract. The Baseline is then reset with every new contract, which comes along with new prices.
 - 4. Trinity NCM allows for the price of forward contracts to be revisited after 3 years, so that it can be reset if favourable for the Project Manager. If the price is reset, then the Baseline will also reset (positioning Project Managers in the same conditions as new

joiners in Trinity NCM) based on at least 5 years of historical data available, and they will walk away from [non-vested payments](#) unless they engage in a new forward contract with the buyer(s) at a mutually agreed forward price curve.

- In order to generate credits during the [Enrolment period](#), Sandy provides Project Managers with a wide list of non-prescriptive Mitigation Practices that they can [explore](#). These can:
 - a. Be selected out of a list of [tailored practices](#) based on the type of enterprise, current practices and Mitigation Practices that have a (positive) material impact.
 - b. Come as a result of an [optimised Mitigation Plan](#) based on goals, preferences and limits chosen by the farmer.
 - i. In certain instances, Project Managers can [skip](#) part of the customer journey and generate credits: for any [early action contracts](#); for any [spot](#) or [forward](#) contracts with a negative Baseline where the Project Site maintains a negative net carbon balance; and for any [spot](#) or [forward](#) contracts with a positive Baseline where the Project Site is in a decreasing trajectory.
- Once the Mitigation Practices have been selected, Project Managers can choose the starting date and [schedule](#) the practices for a maximum of up to 10 years, committing to a Mitigation Plan (where credits can be sold only when they are verified [Ex-post credits](#)). The Mitigation Plan can last from 1 year to up to a maximum of 20 years:
 - a. A 1-year plan is a [spot contract](#) with reduction credits only. This ensures that Project Managers are only implementing new practices during one year.
 - b. A 20-year plan is a [forward contract](#) where a Mitigation Practice (that generates removal credits) is implemented in year 10. This is because any removal credits come with mandatory [reporting](#) for [10 years \(or more\)](#) around any potential events that may cause carbon release, impacting the [buffer pool](#). Furthermore, Mitigation Practices associated with carbon sequestration must be held during the [Retention Period](#), generating not only [removal](#), but also [retention credits](#) on an annual basis.
- Based on the Mitigation Practices implemented and scheduled by Project Managers, Sandy provides a Mitigation Plan that outlines the “[gross](#)” and [tradable](#) carbon credits that can be generated as well as the impact from a yield and income perspective:
 - a. “Gross” removal and reduction credits for Project Sites with a positive Baseline are always equal to the net carbon balance reduction compared to the [Baseline](#) (plus any [retention credits](#) that are generated), which can be due to increased sequestration (“removal credits”) and/or reduced emissions (“reduction credits”). Note that in these instances the net carbon balance may be positive or negative.

- b. “Gross” credits for Project Sites with a negative Baseline are always removal credits equal to the negative net carbon balance calculated during the annual Reporting Period because the Baseline is set to zero. In the event that the net carbon balance ends up being positive, then no credits are generated.
 - i. “Gross” credits are calculated in a conservative fashion because we use the upper/lower bound of the uncertainty range for positive/negative net carbon balance (comparing against the average Baseline).
 - ii. In addition to the “gross” credits, we allow retention credits to be generated for those Mitigation Practices that Sandy determines that must be held during the Retention Period, rewarding Project Managers for continuing Mitigation Practices each year, which not only sequester CO2 (carbon flux) but also maintain the carbon stock from previous years. For example, if a Mitigation Plan includes reducing to zero till, every year, the Project Manager will generate both removal credits from continuously accumulating carbon in the soil, and also retention credits by retaining the previous years’ carbon (by continuing the zero till practice).
- c. Tradable credits are equal to the “gross” reduction and removal credits adjusted for yield reduction. In the case of removal credits, the buffer pool will also be deducted.
 - i. If a Mitigation Practice is estimated to reduce yield, we deduct the relevant carbon credits to account for leakage, i.e. a potential increase in emissions that may occur elsewhere (in order to make up for the loss of yield on this farm). The yield reduction kicks in when yield reduces by more than a certain threshold (e.g., 5% yield reduction). Also, if the yield reduction breaches a certain threshold (e.g. more than a 40% reduction in yield), no credits are generated. We may also refrain from applying the yield reduction adjustment during the first few years after implementation of a Mitigation Practice if it is estimated that the yield is recovered (or even improved) in the short - medium term (as it would then not necessarily create structural leakage).
 - ii. The buffer pool consists of a 20% deduction from all removal carbon credits (post yield reduction adjustment). Reduction credits do not contribute to the buffer pool.
- d. The following table summarises all the possible scenarios to generate tradable carbon credits (pre buffer pool deduction and assuming that the yield adjustment is proxied proportionally to the yield reduction) in the case of a positive Baseline.

Change with respect to the baseline			Carbon intensity**		Credit generation	
Emissions	Sequestration	Net carbon balance*	Yield change	Intensity change**	Generation of reduction credits	Generation of removal credits
			If yield increases (or does not change)	Decrease	Emissions change	Sequestration change
Less positive	More negative or no change	Decrease	If decrease in yield <= X	Decrease or increase	(1-X)% of emissions change***	(1-X)% of sequestration change
			If decrease in yield > X	Decrease or increase	None	None****
More positive	Less negative or no change	Increase	Any	Decrease or increase	None	None
			If yield increases (or does not change)	Decrease	Net carbon balance change*****	None
Less positive	Less negative	Net decrease	If decrease in yield <= X	Decrease or increase	(1-X)% of net carbon balance change***	None
			If decrease in yield > X	Decrease or increase	None	None****
Less positive	Less negative	Net increase	Any	Decrease or increase	None	None
			If yield increases (or does not change)	Decrease	None	Net carbon balance change*****
More positive	More negative	Net decrease	If decrease in yield <= X	Decrease or increase	None	(1-X)% of net carbon balance change***
			If decrease in yield > X	Decrease or increase	None	None****
More positive	More negative	Net increase	Any	Decrease or increase	None	None

* Net carbon balance = emissions - sequestration; ** Carbon intensity = net carbon balance / yield

*** Credits are adjusted based on the decrease in yield to minimise risk of leakage;

**** Precluding farms from making a profit through carbon credits when they go into administration;

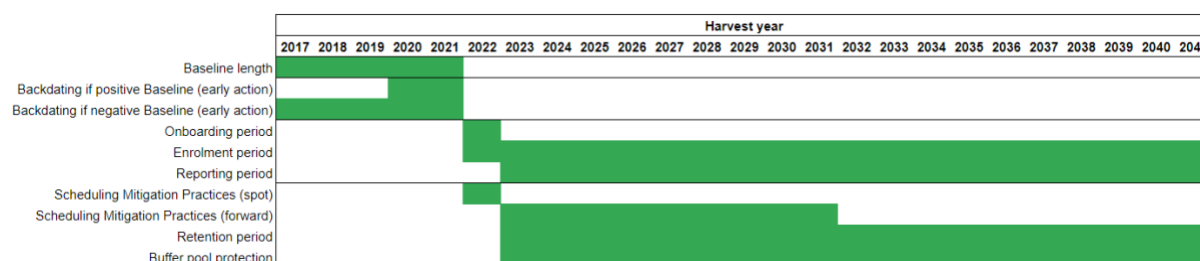
***** In these instances, carbon intensity has decreased. Thus, some buyers may want to reward the emissions/sequestration change (as opposed to the net carbon balance change) despite leakage considerations and the extra profit due to the increase in yield.

- e. In the case of a negative Baseline, the [Baseline is set to zero](#). Therefore, the credit generation will always be removal credits (no reduction credits), which will be equal to the net carbon balance (not the net carbon balance change) during each [Reporting Period](#) regardless of whether the net carbon balance has increased or decreased and in which direction the emissions and the sequestration have moved. We apply the same [yield reduction-related constraints](#) and [buffer pool deduction](#) as for the positive Baseline scenarios (i.e. credits are adjusted if yield is reduced and there is no credit generation if yield decreases by more than a given threshold).
- Once the Mitigation Plan is in place, Sandy provides a financial impact assessment associated with the selected Mitigation Practices and the projection of Ex-ante carbon credits.
 - a. The financial estimates rely on stock and reference data, covering:
 - i. Estimated costs: upfront, ongoing, [generation](#), [reporting](#), [retirement \(sale\)](#), [validation and verification](#), and consulting costs.
 1. In order to check [financial additionality](#), we look at the breakeven cost that excludes credit generation, reporting, sale, verification and consulting costs.
 - ii. Estimated revenue from the projected carbon credits, any cost savings from a change in practice, foregone income from any reduced yield caused by Mitigation Practices, direct revenue associated with the implementation of any Mitigation Practice.
 1. It excludes the removal credits that are set aside for the [buffer pool](#).
 2. It considers the timing of [vested payments](#).

- b. The Ex-ante carbon credits are projected assuming that the Project Site continues running business-as-usual while implementing the Mitigation Practices that Project Managers have committed to. However, at their own risk, farmers can decide to adopt new practices that are neither part of their business-as-usual operations, nor the Mitigation Practices that they have committed to. In this instance, a deviation may occur, which may cause:
 - i. A true-up in the carbon credits amount, which we accept because we follow an outcomes-based approach.
 - ii. A true-down in the carbon credits amount, which may trigger termination consequences associated with the contractual risk management rules.
- Once the Project Manager commits to the Mitigation Practices, they can formalise a Mitigation Plan to implement the activities over a certain time period and make their carbon credits available for sale at Trinity NCM. At this stage, Project Managers move on from Sandy to the NCM marketplace where they agree to the Terms of Use and the Trading Terms.
- Once Project Managers formalise the Mitigation Plan contract, they can access Sandy at any point in time to track the issued/planned credits (and its associated revenue) and to monitor and report the actual activities and Mitigation Practices that take place every year.
 - a. At any point during the contract duration, Project Managers can access Sandy to track the amount of credits that:
 - i. Has been verified and issued, broken down by how many have been retired (sold) and its associated accrued revenue, and how many are still available and its associated expected revenue.
 - ii. Has been validated, broken down by how many have been committed in a forward contract and its associated accrued revenue, and how many have not been committed yet and its associated expected revenue.
 - b. The annual Reporting Period is open all year long for calculating the Ex-post carbon credits (truing-up or truing-down) associated with the farm & land use activities and Mitigation Practices. The Reporting Period applies to any spot contract (or to any forward contracts with trades settling in the spot market during the reporting year).
 - c. Every year, Project Managers need to:
 - i. Fill out a digital questionnaire indicating whether there has been any adverse weather event that may have caused carbon release.
 - ii. Indicate in a checklist which Mitigation Practices (that they had committed to) have been implemented as well as any additional Mitigation Practices causing a deviation.

1. In a [true-up scenario](#), more [Ex-post credits](#) are generated than originally predicted, so they can be made available for sale in the spot market at Trinity NCM. The buyer of the originally estimated credits has the first right to post a bid before the credits are made available to other buyers.
2. In a [true-down scenario](#), less [Ex-post credits](#) are generated than originally predicted. In this case, we follow a [risk management framework](#) that varies [depending on the reason \(intended or unintended\)](#) behind the true down.
 - iii. Conduct a carbon footprint through Sandy's carbon calculator to [true-up/down](#) the carbon credits.
 - iv. And submit verification evidence via the monitoring and reporting screen within their Sandy account.
- d. Once Project Managers get a [verification](#) report, Sandy issues the credits and includes them in the [registry](#). Project Managers can then make offsets available for sale at Trinity NCM, which follows a [commission-based model](#).

This is a visual representation of the different types of periods described throughout the customer journey:



1.3 Risk management framework

1.3.1 Introduction

Trinity NCM has a robust [risk management framework](#) to mitigate various risks that impact both buyers and Project Managers. The table below summarises the types of risks.

Types of risks	Who is exposed?	Definition
Natural risk	Both the buyer and Project Manager	Natural events (e.g. wildfires, droughts, disease, natural disaster, etc.) that cause a deviation before Mitigation Practices have taken place (e.g. due reduction in yield), or after Mitigation Practices have taken place (e.g. a reversal of carbon sequestered in the soil or in the biomass). This is addressed by the force majeure clauses in the Trading Terms.
Model risk	Both the buyer and Project Manager	This includes scenarios where assumptions included in the model may cause a deviation between the projected (Ex-ante) credits and the actual (Ex-post) credits. This is addressed by the force majeure clauses in the Trading Terms.
Contractual risk	Buyer	Socioeconomic factors which may prevent farmers from providing ecosystem services. This can take place either Ex-ante (e.g. not implementing certain Mitigation Practices) or Ex-post (e.g. not honouring the Retention Period by ploughing back the field without a valid reason as determined by a Verifier). This is addressed by the events of default clauses in the Trading Terms.
Counterparty risk	Project Manager	Socioeconomic factors (e.g. breaches of contract, bankruptcy, etc.) that may prevent carbon credit buyers from following the required payment procedure (Ex-post). This is addressed by the events of default clauses in the Trading Terms.

1.3.2 Natural and model Ex-ante risk

- If the actual (Ex-post) credits are less than 80% of the projected (Ex-ante) credits, buyers are not obliged to purchase the credits and have the option to terminate the forward contract.
 - This does not apply to Carbon Negative sites.

- Project Managers have [true-down](#) protection to natural and model Ex-ante risk because Sandy is conservative with projections through the use of the [upper and lower bounds in the uncertainty range](#).
- In addition, purchasing natural catastrophe insurance could be a way to protect Project Managers and buyers against a [true-down](#) scenario related to adverse natural events.
- If the contract is terminated by the buyer due to natural or model risk-related reasons, Project Managers can:
 - Receive the accrued non-vested payments in the [escrow account](#) (only applicable in those instances where the “Conditions of access” clause in the Terms of Use require Project Managers to open and maintain an escrow account).
 - Stop [reporting on potential carbon release](#) (and stop [holding practices](#) for certain removal credits). Therefore:
 - Ex-post removal credits are put on hold in the [buffer pool registry](#) (in case Project Managers enter into any new contracts where they continue [reporting](#) on potential carbon release and [holding practices](#)).
 - The Ex-post removal credits in the buyer(s) accounts in the [general registry](#) are flagged.
 - Keep their available [Ex-post credits](#) in the spot market. The same applies to committed [Ex-post credits](#) still in pre-verification status: they turn into non-committed credits and can be made available in the spot market.
 - Enter into any new contracts in the forward market for all their [Ex-ante credits](#) (resetting the Baseline and using the forward price curve from that moment).
 - Ex-ante credits that had a Committed [status](#) are converted back into a Validated [status](#) (in the Project Manager’s account) and cancelled (in the buyer’s account) in the [general registry](#).

For further detail, please check the force majeure clauses in the Trading Terms.

1.3.3 [Counterparty Ex-post risk](#)

Counterparty Ex-post risk is closely related to instances where buyers do not follow the required [payment procedure](#): this can happen for a variety of reasons, including bankruptcy or breaches of the contract (e.g. in a market that is in backwardation as the buyer can buy at a spot price that is lower than the contract price).

- Unlike in a model or natural Ex-ante risk scenario, buyers are not contractually allowed to terminate the forward contract. Therefore, at Trinity's discretion, the buyer might be restricted from listing any future Mitigation Plans on the [registry](#).
- Project Managers can mitigate counterparty risk because they get paid every year (after the verification of [Ex-post credits](#)), so the most that they can lose is the expected revenue for a single year (where they have incurred costs).

- Furthermore, Project Managers can terminate the contract and get the same treatment as in the [natural and model Ex-ante risk](#) as they can:
 - Receive a lump sum with the [non-vested funds](#) associated with their accrued revenue from their Ex-post credits.
 - Stop [reporting on potential carbon release](#) (and stop holding practices for certain removal credits). Therefore:
 - Ex-post removal credits are put on hold in the [buffer pool registry](#) (in case Project Managers enter into any new contracts where they continue [reporting](#) on potential carbon release and [holding practices](#)).
 - The Ex-post removal credits in the buyer(s) accounts in the [general registry](#) are flagged.
 - Keep their available [Ex-post credits](#) in the spot market. The same applies to committed [Ex-post credits](#) still in pre-verification status: they turn into non-committed credits and can be made available in the spot market.
 - Enter into any new contracts in the forward market for all their [Ex-ante credits](#) (resetting the Baseline based on at least 5 years of historical data available in Sandy, and using the forward price curve from that moment).
 - Ex-ante credits that had a Committed [status](#) are converted back into a Validated [status](#) (in the Project Manager's account) and cancelled (in the buyer's account) in the [general registry](#).

For further detail, please check the events of default clauses in the Trading Terms.

The following table summarises the above concepts in an schematic way:

Protection for Project Managers against counterparty risk	Action in the event of contract termination due to counterparty Ex-post risk or natural & model Ex-ante risk enforcement
Committed Ex-ante credits	Project Managers can enter into any new contracts in the forward market for all their committed Ex-ante credits; those Ex-ante credits move from a Committed status to a Validated status (in the Project Manager's account) and are cancelled (in the buyer's account) in the general registry
Sold Ex-post removal credits	Ex-post removal credits are put on hold in the buffer pool registry (in case Project Managers enter into any new contracts where they continue reporting on potential carbon release and holding practices) and flagged in the buyer(s) accounts from the general registry

Committed Ex-post credits still in pre-verification status	Turn the Ex-post credits to non-committed and make them available in the spot market
Non-vested payments held in an escrow account	Project Managers receive a lump sum with the non-vested funds associated with their accrued revenue from their Ex-post credits (only applicable in those instances where the “Conditions of access” clause in the Terms of Use require Project Managers to open and maintain an escrow account)
Non-committed Ex-ante credits	Project Managers can enter into any new contracts in the forward market
Non-committed Ex-post credits	Project Managers can make the non-committed Ex-post credits available in the spot market

1.3.4 Contractual Ex-ante and Ex-post risk

Contractual risk relates to socioeconomic factors within the reasonable control of farmers which prevent them from providing ecosystem services, such as poor management practices, sale of the farm, cancelling the contract prematurely, etc. This is included within the “Events of Default” defined in the Trading Terms.

Contractual risk management addresses both Ex-ante (e.g. not implementing Mitigation Practices that they committed to in the Mitigation Plan) and Ex-post (e.g. not honouring the [Retention Period](#) by ploughing back the field without a valid reason as determined by a Verifier) scenarios.

Contractual risk is mitigated due to a variety of incentives for the Project Managers:

- Project Managers are incentivised to receive cash flow not materialised yet for revenue that has been accrued. This accrued revenue may be associated with:
 - Ex-ante credits that have been committed in a forward contract (and even when they become Ex-post but are still in pre-verified status and, thus, have not been issued and sold).
 - Ex-post credits that have been issued and sold where there are still [non-vested payments](#) held in an escrow account: when a Project Manager gets paid for verified Ex-post credits, a percentage of the payments (up to 10%, which will be adjusted based on a credit risk assessment) is set aside in an escrow account and a fraction will be vested each year for the [duration of the contract](#) (only applicable in those instances where the “Conditions of access” clause in the Terms of Use require Project Managers to open and maintain an escrow account).
 - Note that, while the buffer pool only applies to removal credits, the percentage applied for the escrow account relates to all types of credits (removal, reduction and retention).

- Project Managers are also incentivised to wait until expected revenue is accrued (and cash flow is subsequently received). This expected revenue may be associated with:
 - Non-committed Ex-ante credits that are available in the forward market.
 - Non-committed Ex-post credits that are available in the spot market.
- Project Managers are incentivised to get paid for any Mitigation Practices that they committed to in their forward contracts, which have subsequently become legally mandatory and, hence, will not be in scope for any new spot or forward contract.

Termination of the contract under contractual risk scenarios can be triggered by the following actions:

1. A verification report is submitted with a rejection rating (e.g. due to poor management practices, potential fraud, etc.).
2. There is a true-down scenario where the actual (Ex-post) credits are less than 80% of the projected (Ex-ante) credits due to Mitigation Practices that were not part of the original Mitigation Plan. If the actual (Ex-post) credits are more than 80% of the projected (Ex-ante) credits, we will not deem the scenario as non-compliant because Trinity NCM follows both a practices-based and an outcomes-based methodology, allowing Mitigation Practices that were not part of the original Mitigation Plan (and that may have caused a true-down scenario with an impact of less than 20% of the projected amount of credits).
 - a. There is an exception to this rule when farmers have committed to reduced tillage or no till. In these instances, they have the option to plough the field once within the Retention Period due to a valid reason as determined by the Verifier (e.g. there is a material pest issue; they are an organic farm that cannot apply pesticides and, consequently, they must plough small portions of the farm on a rotational basis; etc). For the avoidance of doubt, the buyer(s) will not be able to claim compensation via the buffer pool for any carbon that may be released as a consequence of ploughing under these exceptional circumstances.
3. Project Managers inform of one of the scenarios described at the beginning of this section (e.g. sale of the farm, cancelling the contract prematurely, etc.).
 - a. There is an exception to this rule where the Project Manager chooses to reset both the price and the Baseline after 3 years (e.g., in a market that is in contango as the Project Manager wishes to sell at a price that is higher than the contract price). In this scenario, Project Managers are subject to the natural and model Ex-ante risk mitigation termination rules, except for one rule: they will walk away from non-vested payments unless they engage in a new forward contract with the buyer(s) at a mutually agreed forward price curve (as described in the fixed baseline and fixed price in a forward contract section).

In any of the above instances, the Mitigation Plan may be put on hold and the Project Manager will then be allowed 30 business days to remedy the faults found. Otherwise, the Mitigation Plan will be deemed non-compliant, subject to dispute resolution as stipulated in the Trading Terms. If the dispute is not resolved, then the contract is terminated by the buyer and:

- All [non-vested payments](#) in the escrow account are forfeited (only applicable in those instances where the “Conditions of access” clause in the Terms of Use require Project Managers to open and maintain an escrow account).
 - The funds return to the buyers (pro-rata).
- All Ex-ante credits are cancelled in the [general registry](#), so that they cannot be sold in the forward market.
 - The committed Ex-ante credits are cancelled in the buyer(s) accounts from the [general registry](#).
- All Ex-post removal credits held in the [buffer pool registry](#) are cancelled because we cannot guarantee that no reversal will occur.
 - Ex-post removal credits that have been sold are flagged in the buyer(s) accounts from the [general registry](#), to notify that these credits are no longer protected by a requirement to [hold any Mitigation Practices](#).
- Any Ex-post credits not sold yet are cancelled in the [general registry](#), so that they cannot be sold in the spot market.
- At Trinity's discretion, the Project Manager might be restricted from listing any future Mitigation Plans on the [registry](#).
- Certain buyer(s) may include an addendum in the contract whereby Project Managers may be fined in the event of non-compliance.

For further detail, please check the events of default clauses in the Trading Terms.

The following table summarises the above concepts in an schematic way:

Incentives for Project Managers that reduce the potential for contractual risk		Action in the event of non-compliance (by the farmer or land manager)
Future cash flow associated with accrued revenue	Committed Ex-ante credits	Cancelled in the Project Manager's and buyer(s)'s general registry
	Committed Ex-ante credits that derive from the retention period	Ex-post removal credits cancelled in the buffer pool registry and flagged in the buyer(s) accounts from the general registry
	Committed Ex-post credits still in pre-verification status	Cancelled in the Project Manager's and buyer(s)'s general registry
	Non-vested payments held in an escrow account	Forfeited and the funds return to the buyers on a pro-rata basis (only applicable in those instances where the “Conditions of access” clause in the Terms of Use require Project Managers to open and maintain an escrow account)

Future cash flow associated with expected revenue	Non-committed Ex-ante credits	Cancelled in the Project Manager's general registry
	Non-committed Ex-post credits	Cancelled in the Project Manager's general registry
	Mitigation Practices that have then become legally mandatory	Those Mitigation Practices will never become part of a new spot or forward contract

1.3.5 Natural Ex-post risk

Natural Ex-Post risk is managed by a [buffer pool](#) of non-tradable removal credits (which corresponds to a 20% deduction from all removal carbon credits [post yield reduction adjustment](#), regardless of whether or not they relate to Mitigation Practices that must be held during the [Retention Period](#)) that is set apart into a [shared buffer pool registry](#), such that:

- Carbon release can be detected through the audits conducted by [verifiers](#), and/or as part of the annual mandatory [reporting](#) where farmers are required to communicate any natural event that may have caused carbon release.
- Project Managers will not have to use any cash to replace credits in the [buffer pool registry](#) in order to compensate for carbon release due to natural risk-related reasons.
- If the shared buffer pool is sufficiently large, buyers are protected against carbon reversals by the buffer pool, so they do not have to rely solely on insurance to protect against adverse weather events. The [buffer pool protection](#) applies for 10 years, at least: Trinity NCM does not limit the protection to 10-years because the [reporting](#) (and, therefore, the [enforcement of the risk management framework](#)) is done for the [duration](#) of the contract (which may be longer than 10 years).

For further detail, please check the “Consequences of a Release or Reversal of Carbon” clause in the Trading Terms.

The following table summarises the above concepts in an schematic way:

	Buffer pool (related to carbon reversal)	Escrow account* (related to contractual Ex-ante and Ex-post risk)
Creation	20% credits set aside (removal only)	Up to 10% of the revenue is set aside (from removal, reduction and retention credits)
Vesting	No	Annual vesting (it accelerates as we approach the end of the contract)
Application	Enforce natural Ex-post risk framework	Enforce contractual (Ex-ante and Ex-post) risk framework

Duration	Until the end of the contract (10 years minimum)	Until the end of the contract (10 years minimum)
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** Note that the escrow account is only available in those instances where the “Conditions of access” clause in the Terms of Use require Project Managers to open and maintain an escrow account.*

2. Introduction

2.1 Purpose of this Methodology

This Methodology describes the [integrity standards](#) and procedures set by Trinity Natural Capital Markets (“Trinity NCM”) for developing [validated Mitigation Plans](#) and issuing [verified carbon credits](#) that are [monitored, reported](#) and [risk managed](#) throughout the [duration of the contract](#).

2.2 Go

2.2.2 Trinity AT

Sandy is the digital assistant of Trinity AgTech (“Trinity AT”). It enables Project Managers to generate credits aligned with Trinity NCM [standards](#) and procedures. Trinity AT offers a SaaS pricing model for the use of its platform.

2.2.3 Trinity NCM

Trinity NCM is the trading marketplace where carbon credits are exchanged between buyers and sellers. It is also the author of this Methodology, and the body that holds [CCP-aligned high integrity standards](#) and that maintains the [registry](#) of the credits. Trinity NCM follows a commission-based pricing model, such that incentives are aligned with Project Managers to maximise natural capital. Trinity NCM is a market operator, not a broker. For further detail, please check the “Scope of activity” and “Conditions of access” clauses within the Terms of Use.

Trinity NCM’s carbon marketplace is a form of a payment for ecosystem services that incentivises the reduction of carbon emissions in an effort to financially motivate activities that eliminate carbon from the atmosphere. Trinity NCM also provides access to other ecosystem services, such as biodiversity tokens, that are not part of the scope of this Methodology.

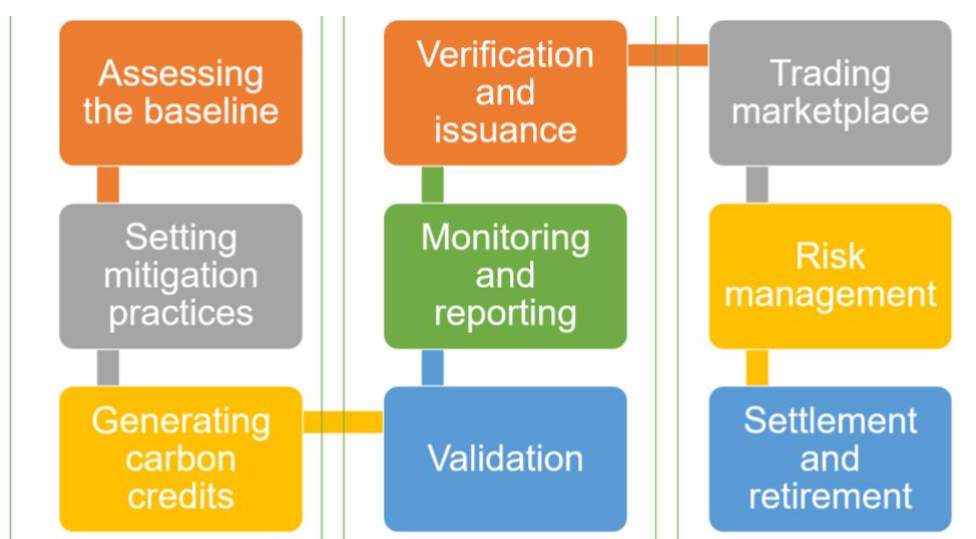
2.2.4 Operating model

The combined access to Trinity AT and Trinity NCM provides Project Managers with a seamless digital experience to develop carbon credits in the most cost-effective fashion, cutting unnecessary intermediaries, following ISO standards, and relying on best-in-class technology and the latest peer-reviewed science (i.e. [IPCC 2009 tier 2 and 3 methodologies](#)) compiled and harmonised by a board of 37+ leading agricultural scientists.

This operating model and governance structure between Trinity AT and Trinity NCM avoids conflicts of interest for a twofold reason:

1. Trinity AT is neither a project developer nor an aggregator.

2. Mitigation Plans are verified by [accredited third party auditors](#). Verifiers can seek guidance from Trinity NCM (whose governance framework is separate from Trinity AgTech's) if there is a disagreement with the Project Manager.



2.3 Why us

2.3.1 We unleash the genius of the many

- Trinity AgTech and Trinity NCM have no corporate backers, affiliations or shareholder interests that could distort their values nor their mission. We are 100% independent of any group within the agriculture & food ecosystem. Our methodology is kept up to date by a Scientific Board with more than 37 members.
- We have a policy of not leaving anyone behind: we cater for all farm sizes, all levels of technological sophistication, all forms of farming, and all enterprises.
- We cover all land uses: croplands, grasslands, peatlands and woodlands.
- We offer scalable solutions for all enterprises: arable, horticulture, perennials, livestock (beef, dairy, pigs, eggs, sheep, etc.), waste management (anaerobic digestion plants, biochar, etc.), glasshouses, packhouses, transport, etc.
- We are inclusive of any type of ownership status: landowners, tenant farmers and farm partnerships.

2.3.2 We are not prescriptive with the Mitigation Practices

- We allow Project Managers to explore a wide range of non-prescriptive [Mitigation Practices](#) tailored to their site, according to their agricultural system, climate, practices already in place, and materiality impact.

- We follow [both a practices-based and an outcomes-based methodology](#), recommending farmers to comply with the mitigation practices that they have committed to, while allowing mitigation practices that were not part of the original plan.

2.3.3 We are not prescriptive with the timing of the Mitigation Plan

- We offer [flexible timings](#) for Project Managers to implement their [Mitigation Plan](#): we offer [spot contracts](#), allowing farmers to explore the carbon market without making a long-term commitment beyond a year. We also offer [forward contracts](#), allowing farmers to choose the duration of the contract, lock in their baseline and mitigate price volatility.
- We reward both Carbon Positive and Carbon Negative sites, [backdating early action contracts](#) for those who have already achieved net-zero, and [providing optimal plans](#) for those aiming to achieve net-zero within certain financial and production constraints.

2.3.4 We have the strongest legal underpinning

- We work with leading international law firms, highly specialised in financial services and carbon markets. Some of them are members of the [Taskforce on Scaling Voluntary Carbon Markets](#).
- We work with leading law firms local to every jurisdiction, highly specialised in rural estate law that advise a variety of private estates and farming companies; for instance, in the UK they advise the Church Commissioners and the Crown Estate in relation to aspects of their rural land and mineral portfolios.

2.3.5 We follow the latest science

- We follow the latest science available for carbon footprinting: tier 2 and 3 methodologies from the [2019 Refinement to the 2006 IPCC Guidelines](#). We distinguish between [reduction, removal](#) and [retention](#) credits, offering breakdowns by type of greenhouse gas emission and source.
- Our [Life Cycle Assessment](#) includes scope 3 emissions up the value chain (e.g. embedded in the the production of fertiliser, feed, pesticides, infrastructure, etc.), scope 3 emissions down the value chain (e.g. associated with transportation, packaging, etc.), scope 2 emissions (e.g. heating, electricity, etc.), and a broad range of scope 1 emissions sources, including enteric fermentation and manure management based on tier 2 energy calculations, tier 3 methods for perennial crops, biochar and anaerobic digestion, fertiliser application tier 2 methods, a soil carbon stock change tier 2 model, and a tier 3 model for woodland.

2.3.6 We offer a trusted methodology

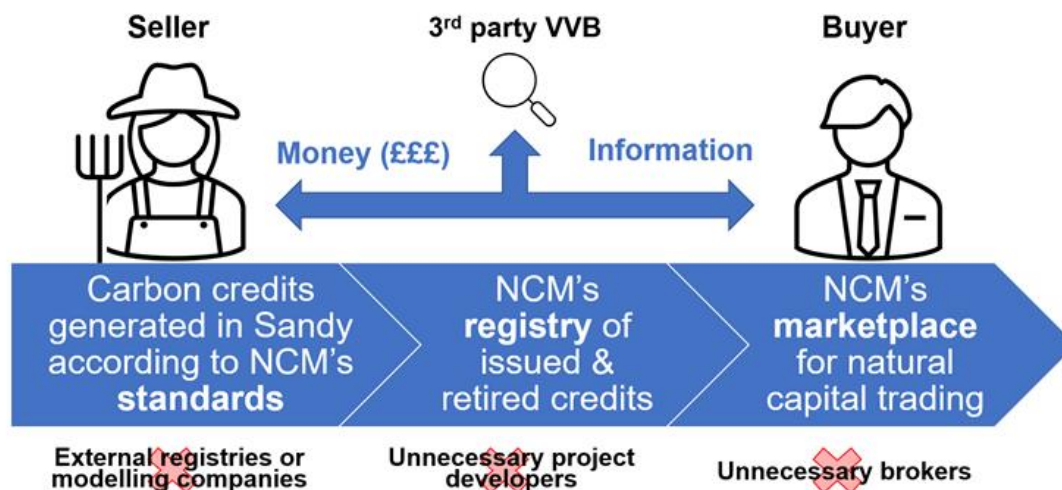
- We have in place the most robust [risk management framework](#), with measures against natural, model, contractual and counterparty risks. This aligns with widely accepted standards around events of default, force majeure and illegality as we outline in our Trading Terms.

- We align with the highest integrity standards from several organisations, including the Carbon Credit Principles from the [Taskforce on Scaling Voluntary Carbon Markets](#) and the recommendations from the [Voluntary Carbon Markets Integrity Initiative](#), the [Integrity Council for the Voluntary Carbon Market](#) and the [Net-Zero Standard from the Science Based Targets Initiative](#).
- We generate carbon credits following a conservative approach; for instance, we make adjustments based on [predicted yield loss](#) and leveraging the upper and lower bounds of [statistical uncertainty ranges](#).
- We generate carbon credits following biophysical steady state process-based models that consider soil characteristics, climate, and farming practices. We can also leverage our remote sensing capabilities for cost-effective monitoring purposes. Farmers [may also provide on-site measurements](#) of soil organic carbon stocks to improve and back test the input data through our model-data fusion approach.

2.4 The Trinity way

Trinity NCM works alongside Sandy to provide the complete package (i.e. methodology + quantification + monitoring + reporting + pre-verification + trading), offering the greatest level of granularity, transparency, and traceability, which allows for price discovery and increased trust.

The Trinity way: more information for buyers, more money for sellers



2.5 Contact

Trinity NCM standards and supporting materials can be found on the website: <https://www.trinityncm.com/>.

For further information, contact Trinity NCM by email or phone:

- Email: info@trinityncm.com.

- Tel: +44 (0) 207 071 6900.

2.6 Version control

This version 1.1 of the methodology came into effect in April 2022. The rules and procedures laid out here supersede all previous versions.

Version	Content	Date
1.0	First version of Trinity Carbon Credits Methodology, including integrity standards, eligibility criteria, onboarding, baseline setting, exploring and scheduling of mitigation practices, carbon credit generation, co-benefits, project plan formalisation, risk management framework, monitoring, reporting and verification.	January 2022
1.1	Two summary chapters (executive summary and introduction) and inclusion of references to ISO 14064	April 2022

2.7 Definitions

- **Aggregation:** multiple projects that can be bundled together by an aggregator based on certain criteria (e.g. similar contract duration, similar jurisdiction, similar farming practice, etc.). This spreads the costs of validation and verification, and it provides diversification opportunities to buyers.
- **Baseline:** farmers and land managers assess their Baseline, i.e. their current carbon footprint. In order to earn carbon credits, they must reduce the Baseline.
- **Carbon credit:** a transferable instrument, which recognises the reduction/removal in greenhouse gas (GHG) emissions denoted in tonnes CO₂e generated. A purchaser of a carbon credit can “**retire**” it to claim the underlying reduction towards their own GHG reduction goals.
- **Carbon Negative:** a Project Site whose carbon footprint is net zero or net negative.
- **Carbon Positive:** a Project Site whose carbon footprint is net positive.
- **Co-benefit:** a non-carbon benefit would mainly be in the form of biodiversity enhancement, water protection or agroforestry planning, and can be produced either as a consequence of the carbon-benefitting practices, or by practices focused on nature only.
- **Enrolment Period:** period of time (open all year long) when new Baselines can be set and new Mitigation Plans are established.
- **Ex-ante credits:** credits generated after Project Managers have **formalised a Mitigation Plan**, but before Mitigation Practices (and the associated ecosystem services) have occurred. As time goes by and Mitigation Practices take place, Mitigation Plans offer a combination of Ex-ante and Ex-post credits.
- **Ex-ante risk:** exposure to risk before Ex-ante credits turn into Ex-post credits.

- Ex-post credits: credits generated when Mitigation Practices have occurred.
- Ex-post risk: exposure to risk after Ex-ante credits turn into Ex-post credits.
- Methodology: this document.
- Mitigation Practice: any activity that reduces climate and/or nature degradation, either by reducing emissions and/or sequestering carbon. It must have a positive impact on climate change, enhance biodiversity and/or protect water, thereby reducing or alleviating nature loss.
- Mitigation Plan: the Project Manager's plan that involves Mitigation Practices to generate carbon credits by reducing the net carbon balance of the Project Site.
- Payments for ecosystem services: name given to a variety of arrangements through which the beneficiaries of environmental services are rewarded. This includes watershed protection, forest conservation, carbon sequestration, and landscape beauty. It rewards those whose lands provide these services with subsidies, market premiums, or market payments (e.g. carbon credit).
- Project Site: represents a farming enterprise(s) and/or land that can reduce or remove carbon from entering the atmosphere and enrol into a carbon market. Projects create supply in carbon markets.
- Project Manager: the farmer or land manager who has control of the land either because they own the land or because they are a tenant. Project Managers can also be project developers (or aggregators), i.e. entities that represent one (or several) farmer(s) or land manager(s).
- Reporting Period: annual period of time (open all year long) to calculate the actual carbon footprint based on the activities and Mitigation Practices that have taken place during the harvest year, and to report on any events that may have caused carbon release.
- Retention Period: Mitigation Practices that produce removal credits must be held during a Retention Period (e.g. minimum tillage requires holding practices for 10 years or more) to avoid release of carbon back into the atmosphere.
- Sandy: Trinity AgTech's tool for sustainability, farm management, profitability and traced provenance.
- Terms of Use: separate document to this Methodology that outlines the terms between Trinity NCM and users of Trinity Natural Capital Group's platforms (e.g. Sandy, NCM marketplace, etc.).
- Trading Terms: separate document to this Methodology that outlines the terms between buyers and Project Managers trading Trinity carbon credits.
- Tonne of carbon dioxide equivalent: unit of measurement for issuing carbon credits. It denotes an amount of GHG equivalent and/or relative to the mass of 1 tonne of CO₂ in terms of its atmospheric impact. Quantities of greenhouse gases beyond CO₂ (e.g. nitrous oxide (N₂O), methane (CH₄), etc.) can be expressed in terms of their atmospheric impact relative to CO₂ using this tonne CO₂e unit of measurement.
- Vintage year: the year in which the Mitigation Practice takes place, which may happen before, during or after the Enrolment Period for early action, spot and forward contracts.

3. Integrity standards

3.1 Introduction

Voluntary carbon markets provide an opportunity to direct private finance towards climate mitigation and nature-based solutions. In order to do this, integrity is crucial. Trinity NCM engages Project Managers and buyers around a shared mission to ensure voluntary carbon markets fulfil their potential to support the goals of the [Paris Agreement](#) and the latest agreements in Glasgow at [COP26](#).

By using Sandy, Project Managers ensure that the carbon credits generated meet the highest integrity standards set by Trinity NCM and outlined below. They are aligned with the Carbon Credit Principles from the [Taskforce on Scaling Voluntary Carbon Markets](#) and the recommendations from the [Voluntary Carbon Markets Integrity Initiative](#), the [Integrity Council for the Voluntary Carbon Market](#) and the [Net-Zero Standard from the Science Based Targets Initiative](#).

For further detail, please check the “Nature of the Platform” clause within the Terms of Use.

3.2 Offering real credits

- We offer [Ex-post crediting](#), i.e. once Mitigation Practices have taken place and been verified by an [accredited third-party](#). This includes backdating the start of the quantification period for farms [taking early action](#).
- In the future, we may allow for [Ex-ante crediting](#) through pre-purchase agreements if the market demands it. In order for this to happen, Mitigation Plans will have to be validated first by an [accredited third-party auditor](#).

3.3 Using a realistic & credible Baseline

- We recommend using a [5-year Baseline](#). As time goes by, we will offer the option to include [more than 5 years](#) to calculate the Baseline.
- We provide conservative calculations, e.g. [adjusted based on the uncertainty range](#).
- We have controls in place, e.g. to detect input data that falls out of a reasonable range, cap the credit amount to a given threshold per hectare, etc.

3.4 Minimising leakage

- We address entire [farms and/or enterprises](#).
- We make adjustments based on [yield reduction](#).

3.5 Generating credits that are additional

- [Negative profitability](#) is required.
- Mitigation Practices cannot be required by law. [Regulatory additionality is rejected](#) if the farm is participating in a compliance scheme where there is not enough clarity if subsidies can be combined with proceeds from carbon certificate sales.

3.6 Committing to a credible durability

- We offer a [durability](#) commitment of [at least 10 years](#) for any removal credits.
- We require a 20% [buffer pool](#) as protection for [carbon reversal](#).

3.7 Credits are validated and verified

- Verified by an [accredited third-party body](#) following an [ISO compliant process](#).
- We have [monitoring and reporting](#) mechanisms in place through Sandy.

3.8 Credits do not net harm

- We have safeguards in place.
- We carry out an impact assessment on projects to ensure there is no net environmental harm caused by projects.

3.9 There is no double counting, issuance or claiming

- Project Sites cannot be registered in [any other carbon credit generating project](#) (carbon scheme).
- Double issuance and double claiming are mitigated by the procedures behind Trinity NCM's [registry](#), which records both buyers and sellers of carbon credits.

3.10 Credits are aligned with the UN Sustainable Development Goals

In 2015, the UN developed 17 [Sustainable Development Goals](#) (SDGs), which outline key targets for developed and developing countries to reach before 2030 that encompass health, education, reducing inequality, spurring economic growth while tackling climate change, preserving water systems and forests.

In order to generate and sell Trinity carbon credits, we require that Mitigation Plans align with at least one of the following SDGs, but we recommend alignment with more than one.

- SDG 6 (Clean Water): through Sandy's water protection module, and the associated co-benefits attached to carbon credits.

- SDG 7 (Affordable and Clean Energy): through the possible installation of AD plants.
- SDG 13 (Climate Action): through the reduction of emissions, increase in sequestration, and putting a price on carbon leading industries to value natural capital and incentivising reducing emissions.
- SDG 15 (Life on Land): through implementing regenerative farming practices, enhancing biodiversity on the Project Site and reducing pollution.

4. Eligibility

4.1 Introduction

When they start the customer journey (at the beginning of each [Enrolment Period](#)), Project Managers fill out a digital questionnaire to check the eligibility of the Project Site. The eligibility questionnaire addresses some relevant standards to ensure [integrity](#) and [high quality](#) of carbon credits.

The screenshot shows a digital form titled 'Check your eligibility'. It contains four numbered questions with checkboxes for 'I agree' and green checkmarks for additional information. Question 1: 'I am not currently enrolled in any other carbon payment program for one or more enterprises on my farm' (checked, 'No double counting'). Question 2: 'When generating carbon credits, I will perform a carbon footprint assessment where I will consider one or more of my enterprises on my farm' (checked, 'There is no leakage'). Question 3: 'I agree that I will not generate credits from a commitment to mitigation strategies required by law' (checked, 'There is regulatory additionality'). Question 4: 'Do you lease or own the land?' with radio buttons for 'I'm the owner' (selected) and 'I'm leasing the land'. At the bottom, there is a statement: 'The information provided is true and correct. By signing this legal attestation, I understand that any wilful dishonesty may render for credit cancellation:' followed by a green 'Sign' button and a green speech bubble icon.

4.2 Preventing double counting

The Project Site cannot be enrolled in any other carbon payment program for any of the enterprises on the site (to avoid double counting).

△ We remain alert around the implementation of paragraphs 2 and 4 of the Article 6 of the [Paris Agreement](#) based on the decisions that have been made at [COP26](#) regarding corresponding adjustments, mandatory cancellation and levy.

4.3 Minimising leakage

We allow Project Managers to select the enterprise(s) where they want to generate carbon credits. For example, a mixed farmer (livestock and arable) can decide to just include their arable enterprise; however, we do not allow the project to be based on specific crops or fields as this could cause [leakage](#).

The primary enterprises in Sandy's carbon calculation module are:

- Arable & horticulture: the cropping systems can be single crop or rotational. A project cannot involve land use change (e.g. arable to forestry).

- Livestock: beef, pigs, eggs, dairy, sheep, etc. In this case, if livestock are displaced, the corresponding emissions are still attributed to the project, based on historical data.
- Perennials.
- Glasshouses and controlled environments with no soil.
- Other enterprises such as woodland, transportation, packhouses, or anaerobic digestion plants.

△ We encourage a holistic approach: while we allow projects to just cover a certain enterprise, we recommend that Project Managers include all available enterprises on the Project Site in order to increase the credibility of the carbon credits generated.

Carbon emissions baseline

Carbon calculations for past years will be used to establish your baseline. You will need to provide evidence of the field management practices for each of the years and enterprises you select. The evidence can be photos, videos, invoices and purchase receipts.

All enterprises
Specify enterprises

☐ Arable & Horticulture
☐ Perennials
☐ Soiless Controlled Environment
☐ Livestock

Baseline duration 5 years (2016-2020) 3 out of 5 year of carbon calculation data is available

2020	100% complete	70,647 tCO ₂ e	Add evidence
2019	100% complete	52,738 tCO ₂ e	Add evidence
2018	100% complete	59,837 tCO ₂ e	Add evidence
2017	60% complete	--	In progress
2016	No data	--	Add data

Save

4.4 Meeting regulatory and financial additionality requirements

Additionality relates to carbon reduction or sequestration that is over and above what would have happened in the absence of a given project or activity.

We follow the concepts of regulatory and financial additionality, meaning Project Managers cannot generate credits from a practice that is either required by law or that is profitable without the sale of credits (including if the practice is financed by another means or paid via subsidies). For the avoidance of doubt:

- If a voluntary (not mandatory) subsidy does not finance all the associated costs, Project Managers are then allowed to generate Trinity carbon credits from that activity (they will have to provide evidence that the activity is not profitable without the sale of carbon credits).
- A Project Site is not eligible if it is participating in a compliance scheme and there is not enough clarity of profitability from subsidies or carbon certificate sales.

△ Note that we are not following the concept of regional additionality, e.g. if a practice is 70% common in a region, we would still allow the remaining 30% to generate credits by moving to the common practice. Regional additionality is an approach that makes sense for carbon credit programs that lack technological and scientific capabilities to assess projects on a farm, enterprise and field level, like Trinity NCM does.

4.5 Signing a list of warranties and a document with consents

Trinity NCM contracts ensure harmonious legal and contractual underpinnings between landlords and tenants, as well as fair governance and delineation of the different activities that may be undertaken.

When Project Managers go through the onboarding process in Sandy, they fill out a digital form that demonstrates:

- The ownership of the potential for greenhouse gas reduction and/or carbon capture potential.
- The commitment to the delivery of that reduction and/or carbon capture for the duration of a project.

The form is different depending on whether we are dealing with freehold or leasehold land. This is important because both property rights and tenancy agreements are typically subject to reservations (e.g., mineral rights, sporting rights, timber, peat, renewables, etc.) and covenants (e.g., building on the land, farming practices, alterations, consent on environmental schemes, etc.). In the case of leasehold land, the cumulative nature of these provisions may constrain the agricultural tenant's ability to enter into carbon mitigation projects without the landlord's consent, particularly as it relates to carbon removal and carbon stock retention. It is also relevant to consider potential termination provisions in tenancy agreements that may affect the length of a carbon mitigation plan.

The form also deals with other nuances, such as contract farming agreements, partnerships, trusts, land charged as security for a mortgage or loan, etc. Finally, instances where freehold land is sold (or farm tenancies are terminated) are also pertinent to guarantee delivery for the duration of a project. In these instances, the commitment of landlords and other stakeholders to fulfil the project obligations may be necessary.

As a final step, the applicant will sign a list of general warranties and warranties specific to their situation (based on the information provided in the form). This legal document offers protection for buyers and sellers of carbon credits in Trinity NCM's platform. In the case of leasehold land, there is an optional step to get the landlord's consent to unlock the full value from their natural capital, e.g. [generating removal credits](#).

5. Onboarding

5.1 Introduction

Project Managers follow a two-step onboarding process the first time they sign up to Sandy (and, subsequently, if the Project Site acquires new land/cattle/fields/trees/etc.):

1. [Mapping](#) field and land boundaries.
2. Providing operational data to [set the Baseline](#).

5.2 Mapping

5.2.1 Introduction

To generate carbon credits, Trinity NCM requires mapping the field boundaries of the Project Site. In order to attach [co-benefits](#), Trinity NCM also requires mapping the land use (e.g., hedgerows, trees, wild flower margins, etc.).

5.2.2 Field and land use boundaries

Field boundaries are used for climate data and soil type, feeding into Sandy's carbon footprinting model.

Land use boundaries (e.g. hedgerows, trees, wild flower margins, etc.) are used for the biodiversity and water protection modules in Sandy.

5.2.3 Mapping boundaries

Project Managers must provide their land use and field boundaries mapping data. For instance, in the UK they share their single business identifier ("SBI") number, which Trinity NCM uses to get the mapping data from the Rural Payments Agency ("RPA").

Project Managers can also provide shapefiles from mapping software, or manually include field and land use boundaries via Sandy's drawing function and tables (for those that prefer not to draw).

5.3 Providing operational data to set the Baseline

5.3.1 Introduction

Project Managers need to provide [operational data](#) for one (or more) enterprise(s) for the previous [3 to 5 years](#).

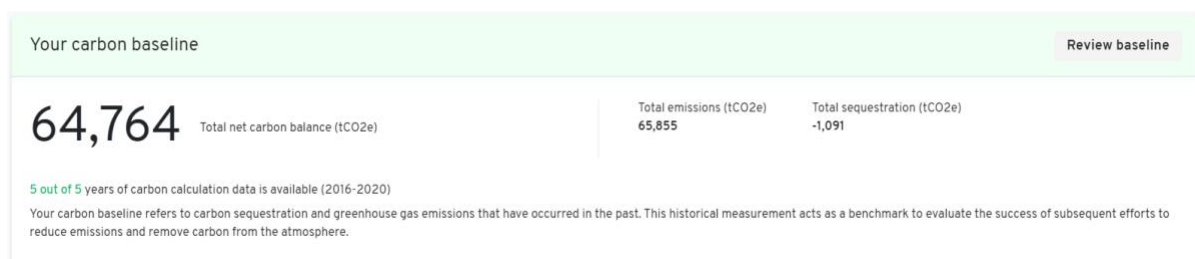
5.3.2 Baseline length

Trinity NCM recommends between 3-5 years' worth of operational data to quantify the Baseline for a Mitigation Plan, in order to generate high quality credits that are [realistic and credible](#). The minimum length is 1 year.

In fact, the more years included in quantifying the Baseline, the more accurate it will become for several reasons listed below (non-exhaustive list):

- Sandy's soil carbon model has more data to model the fluxes of carbon pools within the soil.
- Sandy can encapture rotational crops in arable systems.
- Sandy has more data for GWP* measurements for livestock systems.
- The Baseline is not too inflated due to outlier years.
- Project Managers may be eligible for [backdating](#) carbon credits during the onboarding process.

As time goes by, Project Managers will have been using Sandy for more than five years. Then, at least 5 years worth of data will be used to establish the Baseline for any new [spot](#) or [forward](#) contracts.



5.3.3 Baseline completeness

Project Managers have to populate all mandatory fields. For the optional fields, they can either populate them or choose the default values provided by Sandy.

6. Setting the Baseline

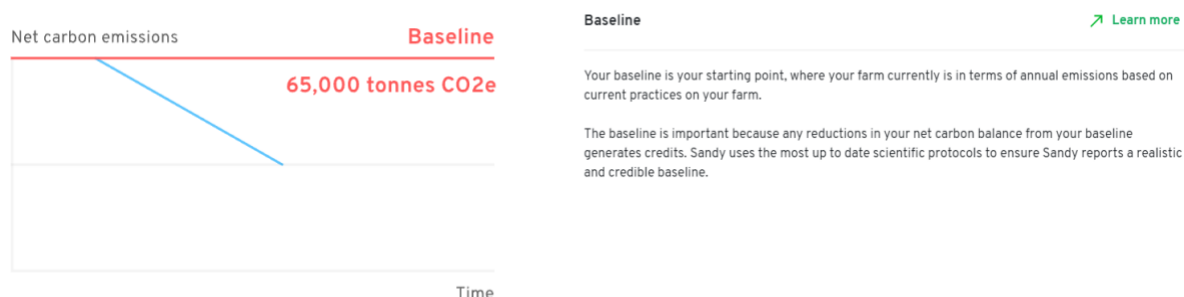
6.1 Introduction

Once field and land use boundaries have been mapped and operational data has been provided, the next step for Project Managers is to assess their Baseline (i.e. their carbon footprint for the past 3-5 years) for the relevant enterprise(s) on the farm.

The Baseline assessment complies with [ISO 14064-2:2019](#) because:

- [It identifies GHG sources, sinks and reservoirs.](#)
- [It includes existing and alternative project types.](#)
- Procedures for establishing Baseline are clearly documented in this Methodology.

△ Note that most Project Sites emit more greenhouse gases than they sequester (remove from the atmosphere). But they can still earn carbon credits, provided they reduce their net carbon balance compared to the Baseline. In other words, it is not required to be net zero to generate carbon credits.



6.2 Backdating during the onboarding process

6.2.1 Introduction to backdating

During [onboarding](#), Project Managers may be eligible to create early action contracts, issuing carbon credits where the Vintage year takes place before the Enrolment Period. Trinity NCM allows for 5-year [backdating for sites with a negative Baseline](#) and 5-year [backdating for sites with a positive Baseline](#).

The rationale to offer early action contracts is threefold:

- Markets reward early action because every fraction of a degree of warming leads to more dangerous and costly impacts to our planet and society.

- It mitigates pervasive incentives, such as situations where farmers would reverse sustainable actions that they have made on their farms in order to be eligible to generate credits.
- Some may argue that early action credits are not be strictly additional (as practices were put in place before credits could finance them). This can be argued as Sandy calculates the “foregone income” associated with sustainable practices (e.g. due to reduced yield during the first years, no tilling, not removing straws to sell them, not chopping woody biomass to sell it, etc.), which is an important factor to consider as part of a “wider additionality” standard.

Note that:

- The activities that took place during the backdated years must comply with the [eligibility criteria](#), e.g. activities are not included in other carbon payment schemes, Project Managers can prove additionality, etc.
- The activities that took place during the backdated years must adhere to the rules from the [risk management framework](#), e.g. a percentage of the payments will be set aside in the [escrow account](#) as a measure to [mitigate contractual Ex-post risk](#), etc.
- If there are any removal credits that are being backdated:
 - Project Managers must commit to hold the associated mitigation practices and to the mandatory [reporting](#) for [10 years \(or more\)](#) around any potential events that may cause carbon release.
 - No [retention credits](#) are backdated.
 - The [Retention Period](#) is not backdated either. For instance, if an early action contract includes minimum tillage that started 2 years ago, then the Retention Period is 10 years from the start of the contract (not 8 years because the project started 2 years earlier). Therefore, those Mitigation Practices that must be held will generate removal and retention credits against a Baseline that will be fixed at the start of the contract (not as of 2 years ago).

6.2.2 Backdating for sites with a negative Baseline

Trinity NCM allows for up to a 5-year backdate for sites with a negative Baseline, rewarding the most recent consecutive years that the site was Carbon Negative during the Baseline period. For instance, we are in January 2022 and the farm has a negative Baseline based on 4 years’ worth of data where it was Carbon Negative in 2020-2021, 2019-2020 and 2017-2018, but Carbon Positive in 2018-2019; then the rewards apply to 2020-2021 and 2019-2020. They are not rewarded for 2017-2018 because it is not part of the most recent consecutive net negative years.

Note that, for backdating purposes in sites with a negative Baseline, Trinity NCM does not require data from the years prior to the Baseline period for calculating the backdated credits; otherwise, we would require 10 years’ worth of data to justify generating carbon credits from a negative net carbon balance that happened 5 years before the onboarding date (e.g. in the previous example,

the 2019-2020 credits are equal to the [negative net carbon balance](#) regardless of whether the average of 2016-2017, 2017-2018 and 2018-2019 result in a negative Baseline).

6.2.3 Backdating for sites with a positive Baseline

Trinity NCM allows for up to a 5-year backdate for sites with a positive Baseline where there is a downward carbon trajectory, which we measure using one of these methodologies: either average carbon footprints or single carbon footprints (whichever methodology returns more early action credits in the latest year to mitigate the pervasive incentive of selecting a 2-year Baseline period to artificially generate more credits). We do it in an iterative fashion as we move backwards throughout the Baseline period. For instance, we are in January 2022 and the farm has a positive Baseline based on 4 years' worth of data: 2017-2018, 2018-2019, 2019-2020 and 2020-2021. Then we calculate EAC1, as the difference between the net carbon balance of 2020-2021 minus the net carbon balance of 2019-2020, and EAC1', as the difference between the net carbon balance of 2020-2021 minus the average of the net carbon balances of 2017-2018, 2018-2019 and 2019-2020). Then:

- If both EAC1 and EAC1' are positive, then there are no early action credits and the process stops.
- If either EAC1 or EAC1' is negative, we take whichever is negative as the early action credits associated with the year 2020-2021. The process then continues in a similar fashion moving backwards throughout the Baseline period, based on single footprints (if EAC1 is negative) or average footprints (if EAC1' is negative).
- If both EAC1 and EAC1' are negative, we take whichever is greater in absolute value as the early action credits associated with the year 2020-2021. The process then continues in a similar fashion moving backwards throughout the Baseline period, based on single footprints (if EAC1 is greater than EAC1' in absolute value) or average footprints (if EAC1' is greater than EAC1 in absolute value).

6.3 Enrolment Period to set the Baseline

The Enrolment Period for establishing a new Baseline and creating a new [Mitigation Plan](#) is open all year long. This allows Project Managers to input data at any point during the harvest year.

The earliest that the enrolled information can be made available for [validation](#) is on the 15th of September of every year (this date may change depending on the type of enterprise and/or the geography), in order to allow Project Managers to include all the data from the harvest year, so that the Baseline has the most up-to-date information and there are no gaps in years.

For instance, at any point before the 15th of September of 2021 Project Managers can include data for the 2016-2017, 2017-2018, 2018-2019 and 2019-2020 harvest years. Also, as of the 15th of September of 2021, Project Managers can include data for the 2020-2021 harvest to set the Baseline to compare against Mitigation Practices that take place in the 2021-2022 harvest (for a [spot contract](#)) and/or going forward (for a [forward contract](#)).

Go to the Validation and Verification section for details around the [evidence required for verifying the Baseline](#).

△ Note that the later the enrolment occurs for a [spot contract](#), the fewer practices that can be included in the Mitigation Plan.

7. Exploring and scheduling Mitigation Practices

7.1 Introduction

In order to generate Ex-ante credits during [onboarding](#) or the [Enrolment Period](#), Sandy provides Project Managers with a wide list of non-prescriptive Mitigation Practices that they can explore and schedule. These can be selected out of a list of [tailored practices](#) on the farm, or they can come as a result of an [optimised Mitigation Plan](#) based on goals, preferences and limits chosen by the farmer. In certain instances, Project Managers can generate credits [without choosing and exploring any Mitigation Practice](#).

To avoid potential ambiguity, the list of Mitigation Practices will also include some information around what is expected from farmers as it relates to the input data that will feed the carbon calculation performed during the annual [Reporting Period](#). For example, reducing tillage may slightly increase the use of inputs, but without fully counteracting the benefits from reduced tillage.

Note that the Ex-ante carbon credits are projected assuming that the Project Site continues running business-as-usual while implementing the Mitigation Practices that Project Managers have committed to. However, at their own risk, farmers can decide to adopt new practices that are neither part of their business-as-usual operations, nor the Mitigation Practices that they have committed to. In this instance, a [deviation](#) may occur, which may cause:

- A [true-up](#) in the carbon credits amount, which we accept because we follow an [outcomes-based approach](#).
- A [true-down](#) in the carbon credits amount, which may trigger [termination consequences associated with the contractual risk management rules](#).

Plant trees ☒

Change fertiliser ☒

Change feed ☐

Manure management ☐

Reduced tillage ☐

Explore and schedule practices [Learn more](#)

Sandy provides a wide selection of practices specific to your farm that would reduce your farm's net carbon balance if implemented. You have the choice of which practice(s) you'd like to implement and when.

If you'd like, Sandy provides an optimal path of practices to implement, making for you the trade-off between yield, cost and carbon credits generated.

7.2 Skipping the process of exploring and scheduling Mitigation Practices

Project Managers can skip the process of exploring and scheduling Mitigation Practices:

- For any [early action contracts](#) where credits have been [backdated](#).
- For certain [spot](#) and [forward](#) contracts:
 - In the case of a positive Baseline, Project Managers may be able to generate credits without improving the net carbon balance from the prior year (or even increasing the net carbon balance compared to the prior year) because they manage to stay below the 3-to-5 year baseline, e.g. the net carbon balance of 2 and 3 (and 4 and 5) years ago was materially higher than the net carbon balance of the prior year (and of the current [enrolment period](#)). Nevertheless, a Carbon Positive site may continue decreasing the net carbon balance to generate even more credits.
 - In the case of a negative Baseline, the Baseline is set to zero. Thus, Project Managers can generate credits if the Project Site [maintains a negative net carbon balance](#), which does not need to be below the Baseline. In other words, a Carbon Negative site with a negative Baseline can generate credits from continuing to operate business as usual. Nevertheless, a Carbon Negative site may continue decreasing the net carbon balance to generate even more credits.

7.3 Exploring Mitigation Practices

7.3.1 Choosing tailored Mitigation Practices

Sandy allows Project Managers to explore a wide range of non-prescriptive Mitigation Practices that would result in a net carbon balance below the Baseline. The Mitigation Practices that Sandy suggests are tailored to the site depending on:

- They depend on the agricultural system or enterprise.
- They exclude current practices in the system (e.g. if they are already doing reduced tillage, then Sandy does not suggest such Mitigation Practices).
- Whether the Mitigation Practices have a (positive) material impact measured as a trade-off between estimated yield reductions, costs of implementing and maintaining the activities, and estimated revenue from selling generated credits. This allows Project Managers to explore and create their own business plan from the interventions that they choose to implement.

From Sandy's tailored list of Mitigation Practices, Project Managers can select one or more of the practices and choose when to implement them (for further detail, see the next section on [scheduling Mitigation Practices](#)).

1. Choose practices that can lead to carbon mitigation

All practices Recommended

Explore a wide range of sustainable practices to improve your carbon footprint:

Choose key practices that are relevant to you ⓘ
0 of 5 selected
Contract duration: 0 years Select all

Change to reduced tillage	Implement in 2022 to all the fields and hold practices for 10 years	Fine-tune	Select
Plant hedgerows	Implement in 2022 to 5% of the fields	Fine-tune	Select
Plant trees	Implement over 2022-2024 to 10% of the fields	Fine-tune	Select
Change feed	Implement in 2022 to all livestock enterprises	Fine-tune	Select
Change manure management	Implement in 2022 to all livestock enterprises	Fine-tune	Select

Project Managers can also fine-tune Mitigation Practices, stating the start date and for which land/cattle/fields/trees/etc. they would like to implement the practices on. For example:

- Trinity NCM allows Project Managers to fine-tune interventions like reduced tillage by deselecting certain fields that they do not want to implement reduced tillage on.
- For Mitigation Practices like organic fertiliser, Trinity NCM allows Project Managers to select the amount and type of manure as well as the fields applicable.

Change to reduced tillage Implement in 2022 to all the fields and hold practices for 10 years Fine-tune Select

Change from full tillage to reduced tillage to increase soil carbon sequestration. This is an action for the field, not just this crop, and will need to be applied across all crops grown in the field and should be considered a long-term practice change.

Implementation costs ⓘ ★★★★
Carbon mitigation ⓘ ★★★★
Yield ⓘ ★★★★



7.3.2 Following a suggested optimal path

Project Managers can alternatively select Sandy's optimal paths, where Sandy suggests a trade-off between yield, cost, and generated credits.

1. Choose practices that can lead to carbon mitigation

All practices Recommended

Let Sandy suggest optimal sustainable practices to improve your carbon footprint based on limits and preferences set by you regarding yield, management practices, and cost:

Choose your carbon footprint targets and preferences Management practices Yield Cost

☒ Reach net zero Current net carbon balance: 64,764 tCO₂e
☐ Increase my biodiversity score
☐ Transition to regenerative

Results of plan

For the optimal paths, Project Managers can select:

- Their overall goals for the Mitigation Plan, e.g. whether they want to reach net zero, increase their biodiversity report, transition into regenerative agriculture, etc.
- Mitigation Practice preferences: e.g., open to planting hedgerows, open to reducing tillage, etc. This excludes practices already being implemented.
- Limits: e.g., constrain the potential yield reduction and/or the potential upfront/ongoing costs.

Yield

Define minimum yields you want to achieve for your crops

No restriction Keep yield the same or higher Minimum yield

All crops 100 %

Show crops

Winter wheat 100 %

Potato 100 %

Beetroot 100 %

Corn 100 %

Clear all Save

⚠ If the results of the optimisation take into account non-linearity (i.e. how different interventions affect each other), then the mitigation potential for each intervention will change when [scheduling](#) Mitigation Practices throughout time.

7.4 Scheduling Mitigation Practices

Project Managers can commit to Mitigation Practices and start implementing a Mitigation Plan as soon as the [Baseline](#) has been established.

7.4.1 Spot contracts

Mitigation Practices can be part of a spot contract if they take place during the [Enrolment Period](#) (e.g. after setting a Baseline that covers until the 2020-2021 harvest year, the farmer decides to reduce tillage in the Winter of 2021 and apply biofertiliser in the Spring 2022).

Spot contracts are verified once the activities take place (i.e. [Ex-post credits](#)). There is no need to validate the [Ex-ante credits](#). For further detail, see the [validation and verification](#) section.

Note that spot contracts where removal credits are generated will effectively become forward contracts as they need to adhere to the 10-year [retention period](#). In this instance, the only difference with a forward contract is that all the mitigation practices take place during the first year (i.e., the [Enrolment Period](#)). Therefore, the only way to continue rolling a spot contract where the baseline resets every year is in the event of spot contracts that only generate reduction credits.

△ Note that a spot contract in this Methodology corresponds to an agreement between Project Managers and buyers to trade carbon credits on a delivery date that falls within the harvest year after the trade date. This is not strictly a spot contract as defined in the Trading Terms where the delivery date falls no later than two days after the trade date (i.e., the definition in the Trading Terms occurs between the verified & issued and sold & retired [credit statuses](#)).

△ Note that, for spot contracts, the later the enrolment occurs, the fewer practices that can be included in the Mitigation Plan because any eligible activities must take place after the Project Plan contract has been formalised in Sandy (to ensure additionality). For instance, if Project Managers set the Baseline on the 1st of October of 2021 and then wait until December 2022 to commit to Mitigation Practices, they will have missed the opportunity to generate carbon credits associated with the 2021 Winter crops.

7.4.2 Forward contracts

Mitigation Practices can also be part of a forward contract whereby they take place after the Enrolment Period for a maximum of up to 10 years.

Therefore, for forward contracts, Project Managers may provide Baseline evidence after the [Enrolment Period](#) if they start the Mitigation Practices the following year (or later, depending on when they choose). Nevertheless, the longer Project Managers take to submit all the Baseline evidence, the more time they will be out of the forward market because the Mitigation Plan will not have been validated: forward contracts require the so-called [validation](#) of [Ex-ante credits](#) (in addition to verification of [Ex-post credits](#)).

△ Several forward contracts (with different Baselines and associated Mitigation Practices) may overlap on the same year. Sandy is able to track them separately because Trinity NCM does not allow different contracts to apply to the same field. This does not preclude Project Managers from starting new Mitigation Practices in a field where there is a contract in place because Trinity NCM follows [both a practices-based and an outcomes-based methodology](#).

7.4.3 Fixed Baseline and fixed price (and practices) in a forward contract

The [Baseline](#) and the forward price curve are fixed for the [duration of a forward contract](#). The Baseline is then reset with every new contract, which comes along with new prices.

Mitigation Practices not required by law before the [enrolment period](#) (and, hence, eligible for inclusion in a Mitigation Plan) will remain as valid practices for the [duration of a contract](#). In other words, changes in law are not applied retroactively to our contracts (e.g. if a specific farming practice becomes mandatory by law) unless they become unlawful practices, in which case we follow the “Illegality” rules from the Trading Terms. This is addressed as part of the “Termination” section of the Trading Terms within the “Mitigation Practices or Plans becoming Mandatory under Applicable Law” clause.

With the creation of a new spot / forward contract, only the Mitigation Practices not required by law at the time of the [enrolment period](#) are eligible.

Trinity NCM is pioneering the creation of forward contracts in the agriculture space as such contracts have historically taken place in forestry and energy related projects. Forward contracts are necessary because the market seeks multi-year commitments to match their medium and long term residual emissions. However, Project Managers may not immediately seek long-term commitments; Trinity NCM offers two options that Project Managers may choose to de-risk (while still participating in the carbon credits space).

- Project Managers can always start with a [spot contract](#) to learn about the ins and outs of carbon credits before they commit to a [forward contract](#). In that case, Project Managers can choose to get suggestions with Mitigation Practices that only generate reduction credits (because if they generate removal credits, then they would have to commit to [report](#) during at least [10 years](#)). They can choose this option by selecting the “customer journey for 1-year commitments” described in the [contract duration](#) section.
- Even if Project Managers agree to a [forward contract](#), Trinity NCM allows for the price of forward contracts to be revisited after 3 years by the Project Manager, so that it can be reset if favourable for the Project Manager (mitigating the risk of being stuck with historical forward prices). If the price is reset, then the Baseline will also reset (positioning Project Managers in the same conditions as new joiners coming into Trinity NCM) based on at least 5 years of historical data available. This clause is an exception to the [contractual risk mitigation](#) rules (because it is effectively a way for Project Managers to walk away from the contract). Under this exception rule:
 - Buyer(s) may be incentivised to re-engage under the new conditions because they already know the behaviour of the Project Manager as it relates to [committing to Mitigation Practices](#), [reporting](#), etc.
 - Project Managers are subject to most of the [natural and model Ex-ante risk mitigation](#) rules, but non-vested payments in the escrow account are forfeited unless the buyer(s) subsequently choose(s) to engage in a new forward contract with the Project Manager at a mutually agreed forward price curve (in which case the funds held in the escrow account on behalf of the Project Manager remain in place). Note that an escrow account is only available in those instances where the “Conditions of access” clause in the Terms of Use require Project Managers to open and maintain an escrow account.

7.4.4 Ex-ante and Ex-post crediting

Verified Ex-post credits are defined as “Tradable Trinity Carbon Credits” in the Trading Terms.

Ex-ante credits generated by a forward contract cannot be sold until they become Ex-post (i.e. the Mitigation Practice has occurred) and they have been verified as determined by the Conditions of Access from the Terms of Use. This is in line with the Carbon Credit Principles of credits being [real](#).

△ In the future, there could be an exception to this rule when Project Managers enter into a pre-purchase agreement (where some upfront costs are covered at the outset): pre-purchasing may be the only way to successfully fund some projects; this may come at a cost because the increased uncertainty may lead to more conservative estimates of carbon mitigation and, thus, a lower number of Ex-ante credits being rewarded for (compared to Ex-post crediting).

7.5 Contract duration

7.5.1 Introduction

Mitigation Plans can last from 1 year to up to a maximum of 20 years:

- A 1-year plan is a [spot contract](#) with reduction credits only. This ensures that Project Managers are only implementing new practices during one year.
- A 20-year plan is a [forward contract](#) where a Mitigation Practice (that generates removal credits) is implemented in year 10. This is because any removal credits come with mandatory [reporting for 10 years \(or more\)](#) around any potential events that may cause carbon release, impacting the [buffer pool](#). Furthermore, Mitigation Practices associated with carbon sequestration must be held during the [Retention Period](#), generating not only [removal](#), but also [retention credits](#) on an annual basis.

Project Managers can renew the contract up to two times for a total of 30 years.

7.5.2 Durability

When exploring Mitigation Practices, Project Managers need to be aware of the concept of durability and its associated implications.

Carbon credit buyers want to ensure the longest permanence possible. But not all methodologies can guarantee the same level of permanence. For instance, soil carbon sequestration depends on a variety of factors including soil type, soil mineral composition, soil hydrology, microbial activity, carbon and nitrogen cycles, climate, plant species composition, and land management over time. Biomass carbon sequestration also depends on a variety of factors. Therefore, we prefer to use the term “durability” as nature-based solutions for carbon have a limited guarantee on carbon removal permanence.

At a minimum, [Trinity NCM requires a 10-year durability](#), which can go up to [20 \(or even 30\) years](#). Trinity NCM stops at 30 years because it is the upper bound on the length of typical private contracts in financial markets across the world. Buyers who want to achieve a longer permanence can simply re-enrol, budgeting costs appropriately to make temporary carbon removal strategies permanent over time.

△ Note that, in other carbon credit schemes, rules typically oblige Project Managers to register covenants to restrict land use for anywhere from 40 to 100 years after they are first approved to

offer credits for sale. These covenants result in a reduction in the market value of the land that is greater than the net present value of the credit revenue stream. However, they do not necessarily ensure that removed carbon will actually be retained because of a lack of continued funding. Therefore, these rules create the expectation of permanence, but it remains to be seen whether the so-called permanence will turn into a reality.

△ Note that nature-based solutions yield many environmental and social co-benefits beyond carbon removal, and they are currently more cost-effective than fully-permanent technology-based solutions (e.g. DACCS, BECCS, etc.).

7.5.3 Retention Period (associated with removal credits)

Trinity NCM has designed the process to be flexible and to empower farmers and land managers as much as possible: not only they chose Mitigation Practices, but also they choose the start date and the length of the contract.

Nevertheless, Mitigation Practices that produce removal credits must be held during a Retention Period that will be 10 years or the duration of the contract, whichever is longer (e.g. minimum tillage requires holding the practice for at least 10 years); the end of the Retention Period is set by the “Maturity Date” in the Trading Terms. During the Reporting Period:

- Project Managers generate not only removal, but also retention credits (annually).
- Project managers minimise the risk of carbon release (which could eat up some or all of their removal credits that have not been sold yet).

△ Note that the retention period does not end after 10 years because Project Managers would still continue with mandatory reporting where they could have to inform about carbon release associated to not holding those practices

8. Generating carbon credits

8.1 Introduction

Based on the Mitigation Practices [scheduled](#) by Project Managers, Sandy provides a Mitigation Plan that outlines the carbon credits that can be generated as well as the impact from a yield and income perspective.

The quantification of GHG sources, sinks and reservoirs (SSR) complies with [ISO 14064-2:2019](#) because:

- GHGs: both the Baseline and the SSRs are broken down into each GHG: CH₄, N₂O, CO₂ and CO₂e. Where aggregated GHG emissions reported in CO₂e are used instead of differentiated GHG emissions, the level of aggregation to which SSRs are identified shall meet the needs of the intended user and be consistent with the quantification method used.
- Risk: Trinity NCM has robust [criteria, procedures and methodologies to assess risk](#).
- [Quantification](#): emissions and removal factors are derived from a recognized origin, appropriate for the GHG source or sink concerned, current at the time of quantification, consistent with the intended use of the project, take account of the quantification uncertainty, and are calculated in a manner intended to yield accurate and reproducible results.
- Uncertainty and data quality: Sandy has quality [controls](#) in place to manage data and information, [including the assessment of uncertainty](#).

Carbon footprint



Yield



Margin

+£5000 ↑

Check results

[Learn more](#)

Based on the practices and schedule you selected, you can see what this plan would achieve for your carbon credits, yield and income.

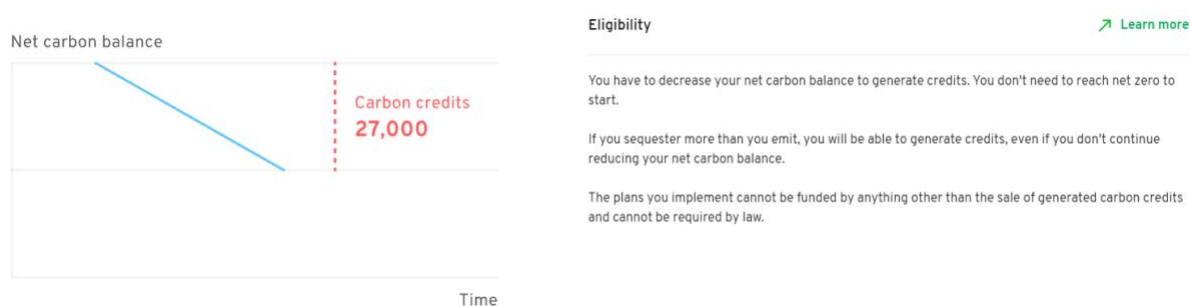
You can increase the value of carbon credits through co-benefits. This means you can sell your credits with the additional value of biodiversity gains or water protection depending on the practice(s) you implement.

8.2 Quantifying gross credits

8.2.1 Generating gross reduction & removal credits if the Baseline is positive

“Gross” credits for Project Sites with a positive Baseline are always equal to the net carbon balance reduction compared to the [Baseline](#) (plus any [retention credits](#) that are generated). No credits are generated if the net carbon balance measured during the [Reporting Period](#) is not below the Baseline (with the exception of negative Baselines).

△ Sandy tracks and reports emission intensity (e.g., measured in tonne CO₂e / kg, tonne CO₂e / ha or tonne CO₂e / £), which Trinity NCM implicitly takes into account through the [yield reduction adjustment](#). However, Trinity NCM does not generate credits from a reduction in emission intensity if the overall net carbon balance is increasing because the market does not demand it, even if it could still meet the additionality criteria. Thus, any farmer or land manager who is growing its business may be precluded from generating carbon credits as it is particularly challenging to materially increase yield while reducing emissions. In these instances, farmers can benefit from other Payments for ecosystem services, such as sustainable labelling, sustainability-linked loans, or sustainability-linked subsidies.



The reduction compared to the Baseline is due to increased sequestration (“removal credits”) and/or reduced emissions (“reduction credits”), as long as the overall net carbon balance has reduced (for instance, if there is an increase in sequestration, but also an increase in emissions leading to an overall increase in the net carbon balance, no removal credits can be claimed from the sequestration).

△ Trinity NCM makes a distinction between reduction and removal credits. Reduction is a reward for lowering emissions, such as changing cattle feed to reduce methane emissions. Removal is for sequestering carbon, such as through planting trees or reducing tillage. Trinity NCM is ready to offer credits broken down by the different greenhouse gases with the following granularity:

- CH₄ due to enteric fermentation, manure and residue management, manure deposition, and soil flooding, among others.
- N₂O due to manure and residue management, manure deposition, crop residues and fertiliser application, among others.
- CO₂e due to fertiliser/feeds/pesticides/infrastructure embedded, among others.
- CO₂ due to fertiliser application, fuel and electricity use, soil carbon stock change, and biomass carbon stock change.

8.2.2 Generating gross removal credits if the Baseline is negative

If the Baseline is negative, then it is set to zero. In this scenario, gross removal credits are equal to the negative net carbon balance calculated during the annual [Reporting Period](#).

Note that if a Project Site becomes Carbon Negative, the Baseline may still be positive when taking into account [historical data](#). In this scenario, carbon credits will be [generated based on the positive Baseline](#). Once enough years go by and the Baseline becomes negative, then the Baseline is set to zero for any new [spot](#) or [forward contract](#) (the prior Baseline is kept for any forward contracts that may still be in place).

See the following section for further detail to convert gross removal credits into [tradable removal credits](#).

△ Note that setting a negative Baseline to zero is a conservative approach because it could be a positive value representing the average amount of carbon that would be released from the soil per year if a regenerative farm reverted to current practices today. In other words, if its value were positive (and not zero) more credits would be generated (at the expense of not having a conservative approach).

8.2.3 Uncertainty range adjustments

“Gross” credits are calculated in a conservative fashion because Trinity NCM leverages the upper/lower bound of the uncertainty range for positive/negative (respectively) net carbon balance (compared against the average Baseline).

This means that during each annual [Reporting Period](#), when a carbon footprint is calculated to confirm the actual amount of credits generated, more credits will typically be generated than originally forecasted (all else being equal). In other words, because of Trinity NCM’s conservative approach, projects are more likely to [true-up](#) rather than [true-down](#).

△ The more Mitigation Practices committed to and the more input data provided, the smaller the uncertainty range and, thus, the larger the amount of projected credits that can be sold in a forward contract.

8.2.4 20-year rule on soil carbon removal credits

The scientific conclusions of the IPCC 2019 guidelines on carbon footprinting (on which Sandy’s carbon quantification model is based) state that certain practices, such as minimum tillage, direct drilling, organic fertilisation or cover crops, stop accumulating carbon in the soil after 20 years when implemented systematically (i.e. every year).

While certain Project Managers may not be able to generate credits associated with soil sequestration after 20 years, they will still be able to generate [reduction credits](#), [biomass removal credits](#), and [retention credits](#) (from holding Mitigation Practices).

8.3 Quantifying tradable credits

Tradable credits are equal to the “gross” credits [adjusted for yield reduction](#). In the case of removal credits, the [buffer pool is also deducted](#).

Estimated carbon credits amount over 13 years (1 credit = 1 tonne CO ₂ e)	TOTAL CARBON CREDITS	EMISSION REDUCTION CREDITS	CARBON REMOVAL CREDITS
Total generated amount Yield reduction adjustment			
Total marketable amount Credits you can get rewarded for after making adjustments that minimise "leakage" caused by a reduction in yield	240,000	215,000	25,000
Buffer pool Amount reserved in case carbon removal is reversed in the future (due to intended or unintended reasons); it gets released gradually over the course of a 10-year retention period	-6,000	--	-6,000

8.3.1 Adjustments for yield reduction

If a Mitigation Practice is estimated to reduce yield, we deduct the relevant carbon credits to account for an increase in emissions that may occur elsewhere (in order to make up for the loss of yield on this farm). In other words, we [mitigate the potential for leakage](#).

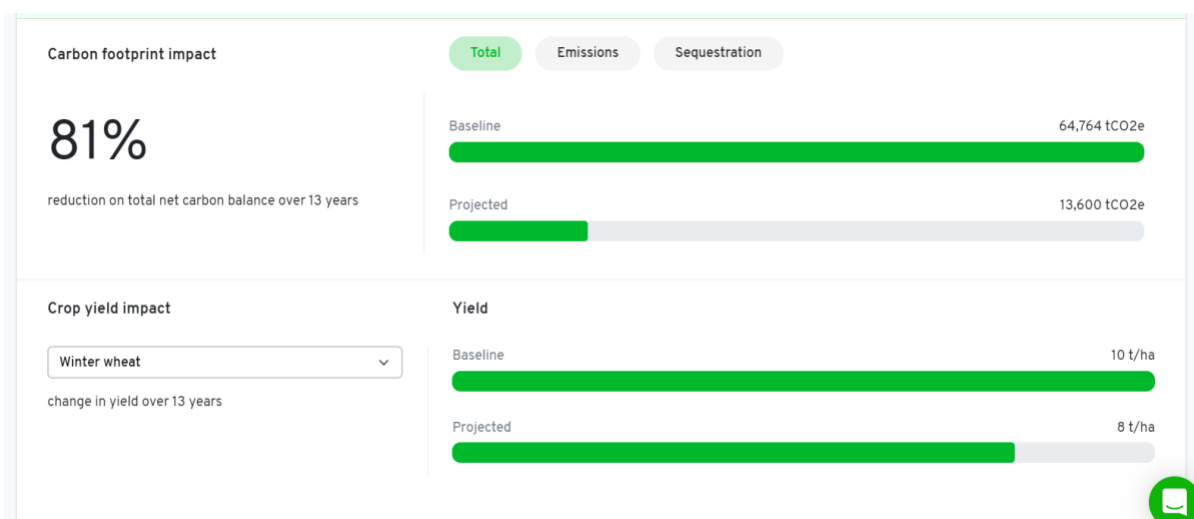
- The credits deducted equal the emissions that would be produced on an average farm in the region to make up for the loss of yield on the reporting farm. A proxy adjustment could be made proportionally to the yield reduction.
- The yield reduction kicks in when yield reduces by more than a certain threshold (e.g., 5% yield reduction). Also, if the yield reduction breaches a certain threshold (e.g. more than a 40% reduction in yield), no credits are generated. This is to avoid credits being generated in edge scenarios. For instance, when the enterprise may go into administration, or when land use changes.

Trinity NCM also allows for a grace period where the yield reduction adjustment is not applied, e.g. during the first few years after implementation of a Mitigation Practice if it is estimated that the yield is recovered (or even improved) in the short - medium term (as it would then not necessarily create structural leakage).

When providing operational data during the [Reporting Period](#) to calculate the actual carbon footprint, we may encounter [deviations](#) between the projected and actual yield:

- If the yield did not reduce as much as Sandy predicted, we may have a [true-up](#) scenario, whereby the Project Manager generates more credits than originally projected. This surplus of [Ex-post credits](#) can be made available for sale at Trinity NCM as a spot trade (and the buyer of the forward contract has the right to post a bid before they are made available as described in the [Deviation from the Mitigation Plan](#) section).
- If the yield is reduced more than Sandy predicted, we may have a [true-down](#) scenario. This would reduce the amount of tradable [Ex-post credits](#) (compared to the forecasted

[Ex-ante credits](#)). In this case, if the yield reduction is due to intended events, then [contractual risk management termination rules](#) may take place (as determined by the third party auditors).



8.4 Quantifying retention credits

Trinity NCM allows for retention credits to be generated for Mitigation Practices that must be held during the [Retention Period](#), as determined by Sandy.

The purpose behind retention credits is to reward Project Managers for continuing Mitigation Practices each year, which not only sequester CO₂ (carbon flux) but also maintain the carbon stock from previous years.

For example, if a Mitigation Plan includes reducing tillage, every year, the Project Manager will generate removal credits for continuing with carbon sequestration, and also retention credits for retaining the carbon sequestered in previous years (by continuing the zero till practice). In reduced tillage, the amount of removal credits generated could decrease every year; however the amount of carbon stock is maintained (and increases) every year, which is the main purpose of holding the practice. Hence, generating both removal and retention credits is a sensible incentive to ensure carbon removal.

The quantification of the retention credits does not assume instantaneous carbon releases; it takes into account how quickly or slowly carbon would be released back into the atmosphere if maintenance is put to a halt based on IPCC guidelines.

Given that Trinity NCM allows backdating for sites with a positive Baseline where there is a downward carbon trajectory, carbon retention credits may also be generated for those who were applying Mitigation Practices that must now be held (with the [Retention Period](#) starting on the [enrolment year](#), not earlier).

△ Note that retention credits could be named “avoidance credits”, but Trinity NCM has chosen a different name for a reason: unlike typical avoidance credits where the Project Manager is passive and additionality is very difficult to prove (e.g. in the case of avoiding deforestation), retention credits require Project Managers to actively work on the farm to keep the carbon in the soil and the woody/plant biomass.

8.5 Financial impact assessment

Sandy provides an estimated financial impact assessment of the selected Mitigation Practices.

The estimations rely on stock and reference cost data, covering the following:

- Costs of implementing the Mitigation Practices, including upfront and ongoing costs.
- Costs of [generation](#) and [reporting](#). This corresponds to Trinity AT’s SaaS pricing.
- Costs of [retirement \(sale\)](#). This corresponds to Trinity NCM’s [registries](#), [escrow account](#) and commission on the sale price.
- Cost of [validation and verification](#) by third party auditors.
- Consulting costs associated with advisors or agronomists helping the farmer implement mitigation practices.
- Any cost savings from a change in practice.

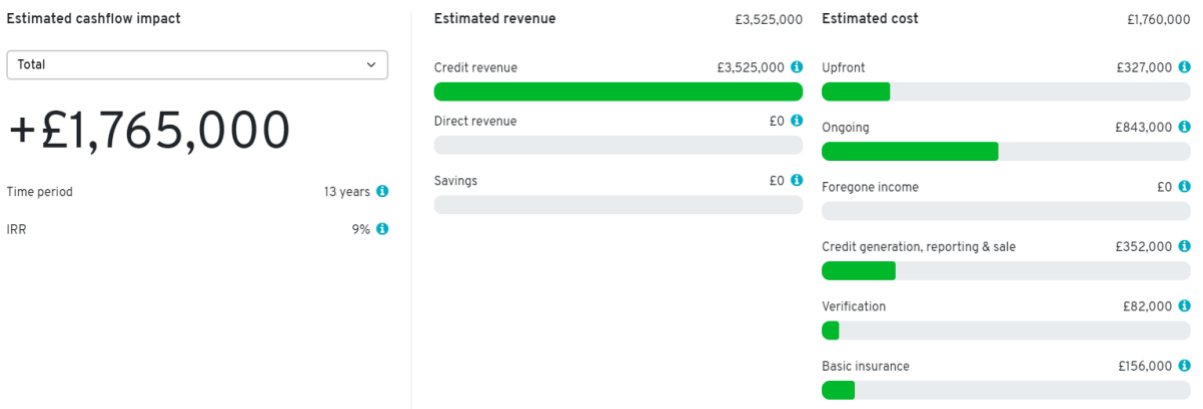
Project Managers can provide information through Sandy’s financial resilience module to update or increase the accuracy of the stock data that is used to provide cost estimations.

Sandy also provides estimated revenue from the projected carbon credits generated from the practices, based on spot and forward carbon prices.

- It includes foregone income from any reduced yield caused by Mitigation Practices. This can be material during the first years of the Mitigation Plan and, therefore, it is key to manage it appropriately.
- It includes direct revenue associated with the implementation of any Mitigation Practice.
- It excludes the removal credits that are set aside for the [buffer pool](#).
- It considers the timing of [vested payments](#).

This financial assessment is also used to check whether the Mitigation Practices that the Project Manager selects are [financially additional](#), meaning the practice cannot be fully profitable without the sale of generated carbon credits.

⚠ The Mitigation Plan may not qualify as additional if the negative profitability is below a certain threshold (e.g. 5% of the Project Site’s revenue).



9. Measuring and generating co-benefits

9.1 Introduction

While tackling climate change is the main focus behind carbon credits generation, it is important that the associated climate benefits do not come at the expense of other environmental metrics. All natural capital matters.

Therefore, we offer Project Managers the option to increase the value of their carbon credits by agreeing to practices that increase biodiversity, water protection or agroforestry on their farm/land (these are called co-benefits).

△ Sandy also allows farmers and land managers to increase productivity and ensure financial resilience (these modules are out of the scope of this Methodology).

△ Trinity NCM is also able to generate biodiversity credits based on Sandy's proprietary scoring methodology (this is out of the scope of this Methodology).

9.2 Co-benefits

Co-benefits are non-carbon benefits that are achieved in addition to the practices that are generating carbon credits. These non-carbon benefits would mainly be in the form of biodiversity protection, water protection enhancement or agroforestry planning, and can be produced either by the carbon-benefitting practice, or another practice on the Project Site that the Project Manager agrees to adopt.

In other words, the co-benefit actions do not have to be connected to the practice that the carbon credits are from. For example, if carbon credits come from a farm's arable system but the user improves water protection on their livestock system, we allow farmers to claim the co-benefits on the carbon credits.

9.2.1 Biodiversity

- Sandy uses values for all on-farm habitats (including their management regime) to provide biodiversity metrics for a range of important groups of biodiversity: farmland wildlife, conservation species, natural species, pollinators, and soil biodiversity. These metrics reflect the current values of habitats and are not compared with a baseline of

undisturbed/intact biodiversity; however, for any habitat type within agricultural land, the current status of habitat (including its management regime) can be compared with the “best it can be” and the “worst it can be” (without compromising food production).

- Our biodiversity scoring system focuses on two aspects: evaluation of the current state of biodiversity on the farm, and exploration and implementation of the most optimal and cost-effective interventions to improve the farm’s biodiversity score in a non-linear fashion. Our proprietary scores have been developed by 17 leading scientists following the Delphi method.

9.2.1 Water protection

- Our water protection module enables farmers to evaluate the impact of their farming practices on their water protection objectives, assess their nitrogen uptake efficiency, and plan the most effective management interventions to minimise nutrient loss and leaching, and increase their return on nitrogen investments. It integrates soil, crop, fertiliser, soil water dynamics, organic matter, and weather modules into one decision support tool.
- Our model supports decision making in a dynamic fashion. It provides ongoing analysis over time (as opposed to providing a static annual average). It implements a crop, field and farm-scale nitrate leaching and nitrogen uptake modelling framework in line with the latest European scientific peer-reviewed publications, and applicable to both conventional and organic farming systems and to all major arable field crops and vegetables.

9.3 Baseline for co-benefits

To measure co-benefits occurring on the land that is generating carbon credits, Trinity NCM requires a co-benefits baseline for biodiversity, water protection and agroforestry on the land. These co-benefits baseline is established from data on land uses on the farm, practices / operations on that land use, and land stewardship features.

10. Risk management framework

10.1 Introduction

Trinity NCM addresses 4 risks that can materially impact the Mitigation Plan:

- Natural risk: both buyers and Project Managers are exposed to this risk before and after Mitigations Practices take place.
- Model risk: both buyers and Project Managers are exposed to this risk before Mitigations Practices take place.
- Contractual risk: buyers are exposed to this risk before and after Mitigations Practices take place.
- Counterparty risk: Project Managers are exposed to this risk after Mitigation Practices take place.

10.2 Natural and model Ex-ante risk

Natural Ex-ante risk corresponds to natural events (e.g. wildfires, droughts, plant disease, natural disaster, etc.) that cause a deviation (e.g. due to a reduction in yield) before Mitigation Practices have taken place. Model Ex-ante risk includes scenarios where assumptions included in the model may cause a deviation between the projected (Ex-ante) credits and the actual (Ex-post) credits.

Buyers have true-down protection to these risks because they are only obliged to go ahead with the committed purchase of credits if the actual (Ex-post) credits are at least 80% of the projected (Ex-ante) quantity of credits. If the actual (Ex-post) credits are less than 80% of the projected (Ex-ante) credits, buyers are not obliged to purchase the credits and can terminate the contract. This does not apply to Carbon Negative sites, in which case the buyer will purchase whatever credits have been generated even if less than the 80% of the projected amount (because it is very hard to achieve a Carbon Negative status). This is included within one of the clauses under “Force Majeure” in the Trading Terms.

Project Managers have true-down protection to these risks because Sandy is conservative with projections through the use of the upper and lower bounds in the uncertainty range. Furthermore, Sandy may also nudge farmers during the season, for instance, to apply fertiliser earlier/later depending on the rainfall predicted in the weather forecast (aiming to maximise the number of credits generated). In addition, purchasing natural catastrophe insurance could be a way to protect Project Managers and buyers against a true-down scenario that is related to adverse natural events.

10.2.1 Termination rules associated to natural and model Ex-ante risk

If the contract is terminated by the buyer due to natural or model risk-related reasons, Project Managers can:

- Receive the accrued non-vested payments in the [escrow account](#) (only applicable in those instances where the “Conditions of access” clause in the Terms of Use require Project Managers to open and maintain an escrow account).
- Stop [reporting on potential carbon release](#) (and stop [holding practices](#) for certain removal credits). Therefore:
 - Ex-post removal credits are put on hold in the [buffer pool registry](#) (in case Project Managers enter into any new contracts where they continue [reporting](#) on potential carbon release and [holding practices](#)).
 - The Ex-post removal credits in the buyer(s) accounts in the [general registry](#) are flagged.
- Keep their available [Ex-post credits](#) in the spot market. The same applies to committed [Ex-post credits](#) still in pre-verification status: they turn into non-committed credits and can be made available in the spot market.
- Enter into any new contracts in the forward market for all their [Ex-ante credits](#) (resetting the Baseline and using the forward price curve from that moment).
 - Ex-ante credits that had a Committed [status](#) are converted back into a Validated [status](#) (in the Project Manager’s account) and cancelled (in the buyer’s account) in the [general registry](#).

10.3 Counterparty Ex-post risk

Counterparty Ex-post risk relates to socioeconomic factors (e.g. breaches of contract, bankruptcy, etc.) that may prevent buyers from fulfilling their commitment to purchase carbon credits as agreed in the Mitigation Plan. This is included within the “Events of Default” defined in the Trading Terms.

10.3.1 Market in contango

In a market that is in contango (i.e. the contract price is lower than the spot price):

- There is little counterparty Ex-post risk as the buyer will buy at a contract price that is lower than the spot price.
- From the perspective of the Project Managers:
 - They are still incentivised to continue with the contract because they have got a fixed Baseline during the [Enrolment Period](#) (if their average net carbon balance has been in a decreasing trajectory; otherwise, they will not be incentivised because the [fixed Baseline](#) will be lower than the Baseline from a new forward contract).

- They can also [break the contract at any time](#), at the expense of walking away from several types of non-vested and expected payments as described in the [non-compliance](#) section.

10.3.2 Market in backwardation

In a market that is in backwardation (i.e. the contract price is higher than the spot price):

- There is increased counterparty risk as the buyer can buy at a spot price that is lower than the contract price.
- On the other hand, Project Managers are incentivised to continue with the contract because they are getting paid a higher contract price than the spot price.

10.3.3 Termination rules due to non-compliance (by the buyer)

Non-compliance by the buyer can happen for a variety of reasons, including bankruptcy or breaches of the contract (e.g. in a market that is in backwardation as the buyer can buy at a spot price that is lower than the contract price).

- Unlike in a [model or natural Ex-ante risk](#) scenario, buyers are not contractually allowed to terminate the forward contract. Therefore, at Trinity's discretion, the buyer might be restricted from listing any future Mitigation Plans on the [registry](#).
- Project Managers can mitigate counterparty risk because they get paid every year (after the verification of [Ex-post credits](#)), so the most that they can lose is the expected revenue for a single year (where they have incurred costs). Furthermore, Project Managers can terminate the contract and get the same treatment as in the [natural and model Ex-ante risk](#) as they can:
 - Receive a lump sum with the [non-vested funds](#) associated with their accrued revenue from their Ex-post credits.
 - Stop [reporting on potential carbon release](#) (and stop holding practices for certain removal credits). Therefore:
 - Ex-post removal credits are put on hold in the [buffer pool registry](#) (in case Project Managers enter into any new contracts where they continue [reporting](#) on potential carbon release and [holding practices](#)).
 - The Ex-post removal credits in the buyer(s) accounts in the [general registry](#) are flagged.
 - Keep their available [Ex-post credits](#) in the spot market. The same applies to committed [Ex-post credits](#) still in pre-verification status: they turn into non-committed credits and can be made available in the spot market.
 - Enter into any new contracts in the forward market for all their [Ex-ante credits](#) (resetting the Baseline based on at least 5 years of historical data available in Sandy, and using the forward price curve from that moment).
 - Ex-ante credits that had a Committed [status](#) are converted back into a Validated [status](#) (in the Project Manager's account) and cancelled (in the buyer's account) in the [general registry](#).

10.4 Contractual risk

Contractual risk relates to socioeconomic factors within the reasonable control of farmers which prevent them from providing ecosystem services, such as poor management practices, sale of the farm, cancelling the contract prematurely, etc. This is included within the “Events of Default” defined in the Trading Terms.

Contractual risk management addresses both Ex-ante (e.g. not implementing Mitigation Practices that they committed to in the Mitigation Plan) and Ex-post (e.g. not honouring the [Retention Period](#) by ploughing back the field without a valid reason as determined by a third-party auditor) scenarios. The latter benefits from [buffer pool protection](#) and is further addressed by the Trading Terms under the “Consequences of a Release or Reversal of Carbon”.

10.4.1 Escrow account and vesting period

Project Managers may be required by the “Conditions of access” clause in the Terms of Use to open and maintain an escrow account to ensure that certain funds are ring-fenced and, thus, they cannot be accessed by Project Managers until the underlying ecosystem services are delivered.

When a Project Manager gets paid for selling Ex-post credits, a percentage of the payments (£x) is set aside in an escrow account (up to 10%, which will be adjusted based on a credit risk assessment). A fraction of these funds is vested each year for the [duration of the contract](#). For instance, if N is the duration (in years) of the contract, the contribution (£x) to the escrow account in year 1 will be paid back to the farmer each year in instalments of $\text{£x} / (N-1)$; the vested payment in year 3, will be $[\text{yr1} / (N-1)] + [\text{yr2} / (N-2)]$.

△ Note that, while the buffer pool only applies to removal credits, the percentage applied for the escrow account relates to all types of credits (removal, reduction and retention).

10.4.2 Contractual risk mitigation

Contractual risk is mitigated due to the following incentives for the Project Managers:

- Project Managers are incentivised to receive cash flow not materialised yet for revenue that has been accrued. This accrued revenue may be associated with:
 - Ex-ante credits that have been committed in a forward contract (and even when they become Ex-post but are still in pre-verified status and, thus, have not been issued and sold).
 - Ex-post credits that have been issued and sold where there are still [non-vested payments](#) held in an escrow account (only applicable in those instances where the “Conditions of access” clause in the Terms of Use require Project Managers to open and maintain an escrow account).
- Project Managers are also incentivised to wait until expected revenue is accrued (and cash flow is received). This expected revenue may be associated with:

- Non-committed Ex-ante credits that are available in the forward market.
- Non-committed Ex-post credits that are available in the spot market.
- Project Managers are incentivised to get paid for any Mitigation Practices that they have committed to in their forward contracts, which have subsequently become legally mandatory and, hence, will not be in scope for any new spot or forward contract.

10.4.3 Termination rules due to non-compliance (by the farmer or land manager)

Termination of a contract under contractual risk scenarios can be triggered by the following actions, which are described in further detail under the “Events of Default” section from the Trading Terms:

1. A verification report is submitted with a rejection rating (e.g. due to poor management practices, potential fraud, etc.).
2. There is a true-down scenario where the actual (Ex-post) credits are less than 80% of the projected (Ex-ante) credits. If the actual (Ex-post) credits are more than 80% of the projected (Ex-ante) credits, we will not deem the scenario as non-compliant because Trinity NCM follows both a practices-based and an outcomes-based methodology, allowing Mitigation Practices that were not part of the original Mitigation Plan (and that may have caused a true-down scenario with an impact of less than 20% of the projected amount of credits).
 - a. There is an exception to this rule when farmers have committed to reduced tillage or no till. In these instances, they have the option to plough the field due to a valid reason as determined by the Verifier (e.g. there is a material pest issue: they are an organic farm that cannot apply pesticides and, consequently, they must plough small portions of the farm on a rotational basis; etc.). For the avoidance of doubt, the buyer(s) will not be able to claim compensation via the buffer pool for any carbon that may be released as a consequence of ploughing under these exceptional circumstances.
3. Project Managers report about any of the scenarios described at the beginning of this section (e.g. sale of the farm, cancelling the contract prematurely, etc.).
 - a. There is an exception to this rule where the Project Manager chooses to reset both the price and the Baseline after 3 years (e.g., in a market that is in contango as the Project Manager wishes to sell at a price that is higher than the contract price). In this scenario, Project Managers are subject to the natural and model Ex-ante risk mitigation termination rules, except for one of them: they will walk away from non-vested payments unless they engage in a new forward contract with the buyer(s) at a mutually agreed forward price curve (as described in the fixed baseline and fixed price in a forward contract section). There is an explicit reference to this exception under the “Events of Default” section from the Trading Terms.

In any of the above instances, the Mitigation Plan may be put on hold and the Project Manager will then be allowed 30 business days to remedy the faults found (this is defined as “Delivery Failure Grace Period” in the Trading Terms). Otherwise, the Mitigation Plan will be deemed non-compliant, subject to dispute resolution as stipulated in the Trading Terms.

If the dispute is not resolved, then the contract is terminated by the buyer:

- All [non-vested payments](#) in the escrow account are forfeited.
 - The funds return to the buyers (pro-rata).
- All Ex-ante credits are cancelled in the [general registry](#), so that they cannot be sold in the forward market.
 - The committed Ex-ante credits are cancelled in the buyer(s) accounts from the [general registry](#).
- All Ex-post removal credits held in the [buffer pool registry](#) are cancelled because we cannot guarantee that no reversal will occur.
 - Ex-post removal credits that have been sold are flagged in the buyer(s) accounts from the [general registry](#), to notify that these credits are no longer protected by a requirement to [hold any Mitigation Practices](#).
- Any Ex-post credits not sold yet are cancelled in the [general registry](#), so that they cannot be sold in the spot market.
- At Trinity's discretion, the Project Manager might be restricted from listing any future Mitigation Plans on the [registry](#).
- Certain buyer(s) may include an addendum in the contract whereby Project Managers may be fined in the event of non-compliance.

10.5 Natural Ex-post risk

Natural Ex-post risk corresponds to natural events (e.g. wildfires, droughts, disease, natural disaster, etc.) that cause a loss of carbon after [Mitigation Practices](#) have taken place. For further detail, please read the “Consequences of a Release or Reversal of Carbon” clause from the Trading Terms.

10.5.1 Buffer pool

The buffer pool is a contingency mechanism to compensate for potential carbon release due to natural events or as a result of events within the Project Manager’s reasonable control (the latter also triggers the termination rules outlined in the [contractual risk](#) section). It consists of a 20% deduction from all removal carbon credits ([post yield reduction adjustment](#)); reduction credits do not contribute to the buffer pool. The 20% deduction that is applied to projected (i.e. Ex-ante) removal credits during the [Enrolment Period](#) is then trued-up/down each year based on the actual (i.e. Ex-post) removal credits that are generated. Only when it is trued-up/down it gets registered in the [buffer pool registry](#) (as the removal credits set aside have to be real).

△ The buffer pool may be risk-adjusted based on a durability assessment. It may also be reduced based on an internal integrity rating and/or based on whether the project is combined into an aggregated project.

10.5.2 Buffer pool protection

The deducted removal credits will always be non-tradable, i.e. the farmer or land manager is never rewarded for them. They are included in the [buffer pool registry](#) where they get co-mingled with removal credits from other projects.

As explained in the [buffer pool registry](#) section, Project Managers will not have to use any cash to replace credits in the buffer pool registry. Also, if the buffer pool registry is sufficiently large, buyers are protected against carbon reversals, so they do not have to rely solely on insurance to protect against adverse weather events.

Carbon release can be detected through an audit from [Verifiers](#), and/or as part of the annual [mandatory reporting](#) where farmers are required to communicate any natural event that may have caused carbon release.

△ Note that the buffer pool protection (and associated [reporting](#)) applies during the [Retention Period](#), which has at least 10 years of [duration](#).

11. Formalising the Mitigation Plan contract

Once Project Managers commit to the Mitigation Practices that generate carbon credits, they can formalise the Mitigation Plan to implement the activities over a certain time period and make their carbon credits available for sale at Trinity NCM.

The Mitigation Plan contract complies with ISO 14064-2:2019 because:

- Monitoring, verification and validation procedures are agreed in the contract.
- It includes this non-exhaustive list of information:
 - Project title, purpose(s) and objective(s).
 - Project location.
 - Type of GHG project, including descriptions of how the project will achieve GHG emission reductions and/or removal enhancements and specific GHGs targeted.
 - Identification of risks that could substantially affect the project's GHG emission reductions or removal enhancements and, if applicable, any measures to manage those risks.

For further information, refer to the Terms of Use and the Trading Terms.

5. Contractual arrangements

13

years

contract duration

240,000

credits

marketable credits

3

practices

carbon plan

2

co-benefits

nature plan

Trinity AgTech terms of use

Legal principles around onboarding, liability, prohibited practices, audit logs, tax compliance, cybersecurity and termination

Review and sign

Trinity AgTech trading terms

General trading terms around product definition, avoidance of double counting, settlement, delivery, failure to deliver, limitation on liability, compensation, and change in law

Review and sign

Eligibility declaration form

You have attested that the information included in this declaration form is true and correct:

Download

12. Monitoring & reporting

12.1 Introduction

Once Project Managers [formalise the Mitigation Plan](#) contract, they can access Sandy at any point in time to monitor the issued/planned credits (and its associated revenue) and to report the actual activities and Mitigation Practices that take place every year.

Trinity NCM's monitoring rules comply with [ISO 14064-2:2019](#) because:

- They include the purpose of monitoring, a list of parameters being measured and monitored, types of data and information to be reported, origin of the data, monitoring frequency, monitoring roles and responsibilities, and data controls and corrective actions.
- We inform of monitoring methodologies, including estimation, modelling, measurement, calculation approaches and uncertainty.
- We ensure appropriate maintenance and retention of data.

12.2 Tracking

At any point during the [contract duration](#), Project Managers can access Sandy to track:

- The actual amount of credits that has been [verified and issued](#), broken down by:
 - How many have been [retired and sold](#) (and its associated accrued revenue, including the actual cash flow and the cash held in the [escrow account](#), if applicable).
 - How many are still available to be sold (and its associated expected revenue).
- The projected amount of credits that has been [validated](#), broken down by:
 - How many have been committed in a forward contract (and its associated accrued revenue).
 - How many have not been committed yet (and its associated expected revenue).

12.3 Reporting

The annual [Reporting Period](#) for calculating the actual (Ex-post) carbon credits ([truing-up](#) or [truing-down](#)) associated with the farm activities, land use and Mitigation Practices is open all year long. This is to allow Project Managers to input data at any point during the harvest year.

The earliest that the reported data will be made available for [verification](#) is on the 15th of September of every year (this date may change depending on the enterprise and the geography), in order to allow Project Managers to include all the data from the harvest year.

For instance, at any point before the 15 of September of 2021, Project Managers can include data for the seeding and fertiliser application of the 2020-2021 harvest year. Also, as of the 15th of September of 2021, Project Managers can include data for the yield and fuel use taking into account the full season.

The [Reporting Period](#) applies to:

- Any [spot contract](#).
- [Forward contracts](#) with trades settling in the spot market during the [Reporting Period](#).

△ The later the reporting occurs, the more time Project Managers will be out of the spot market.

Every year during the contract duration, Project Managers must monitor and report the following (regardless of whether there are any spot trades taking place that year):

- Fill out a digital questionnaire indicating whether:
 - There has been any adverse weather event that has prevented them from delivering on the committed practices (triggering [natural Ex-ante risk](#) termination rules) or that may have caused carbon reversal (triggering [natural Ex-post risk](#) termination rules). For further detail, please check the “User covenants” clause within the Use of the Platform chapter in the Terms of Use.
 - They are in potential [non-compliance in relation to a contractual risk scenario](#), triggering the associated termination rules.
- Indicate in a checklist which Mitigation Practices (that they had committed to) have been implemented, as well as any additional Mitigation Practices causing a [deviation](#).
- Conduct a carbon footprint through Sandy’s carbon calculator to [true-up/down](#) the actual credits.
- Submit verification evidence via the monitoring and reporting screen within their Sandy account.

Once Project Managers get a [verification](#) report, Sandy issues the credits and includes them in the [registry](#). Project Managers can then make offsets available for sale at Trinity NCM, which follows a [commission-based model](#).

12.4 Deviation from the Mitigation Plan

12.4.1 Introduction

Deviations between [Ex-ante and Ex-post](#) may occur due to [non-intended events](#) (e.g. associated with natural or model risk) or to [intended changes to current practices](#) (e.g. associated with contractual risk). Both scenarios are described in the [risk management framework](#).

In scenarios related to intended factors, Trinity NCM follows both a practices-based and an outcomes-based methodology:

1. Practices-based methodology: Trinity NCM suggests Mitigation Practices that Project Managers may choose and commit to in their Mitigation Plan. We recommend that Project Managers do not deviate from the Mitigation Practices that they have committed to, especially when Sandy provides [optimal solutions](#).
2. Outcomes-based methodology: Trinity NCM also allows for inclusion of achievements that occur at the Project Site, even if they are related to Mitigation Practices that Project Managers did not commit to. In this scenario, the new practices:
 - a. Must be [eligible](#) (i.e. additionality, not required by law, etc.). Project Managers will select from a list the Mitigation Practices (or add them in a free text field). They will then be made available to third-party auditors that will [verify](#) the practices and their compliance with [integrity standards](#).
 - b. [Reported](#) in order to include them within the carbon calculation in Sandy to generate the correct amount of Ex-post (i.e. actual) credits and to include them within the existing contract.

Note that new Mitigation Practices (resulting from the outcomes-based methodology) generate removal credits, then the retention period will be 10 years or the duration of the contract, whichever is shorter. As a consequence, Project Managers will be precluded from including those practices in future contracts (as it would go against additionality standards), even though they may have not benefited from a 10-year retention period.

12.4.2 True-up

In a true-up scenario, more [Ex-post credits](#) are generated than originally predicted. In this case, the additional credits will be:

- Included in the [registry](#) with a specific serial number that identifies them as ‘true-up’ credits.
- Made available for sale in the spot market at Trinity NCM. The buyer of the originally estimated credits has the first right to post a bid before the credits are made available to other buyers.

12.4.3 True-down

In a true-down scenario, less [Ex-post credits](#) are generated than originally predicted. In this case:

- There is a true-down adjustment to the [Ex-ante credits](#).
- We follow a [risk management framework](#) that varies depending on the reason (intended or unintended) behind the true-down [as described in the introduction above](#).

13. Registry Rulebook

13.1 Introduction

Trinity NCM offers a general registry that contains all the carbon credits that have been issued through Sandy, and a buffer pool registry for non-tradable credits that [can be used in case of carbon release](#).

Trinity NCM's registries monitor projects and issue carbon credits for each unit of emission reduction or removal that is verified. This is done based on the terms outlined in this Methodology to [issue](#), and [monitor](#), [report](#), and [verify](#) project activity.

13.2 General registry

Trinity NCM manages the Registry for all Trinity carbon credits generated through Sandy.

[Ex-ante credits](#) enter the Registry as soon as the Project Manager signs the Terms of Use and Trading Terms and the project has been [validated](#) by the third-party auditors. These [Ex-ante credits](#) are:

- Given unique serial numbers which identify the registry, asset type, project ID, project country code, Baseline year, Vintage year, serial block start and end, and the verifier.
- Change their [status](#) as time goes by.

In the case where a project generates more credits than originally projected (a [true-up](#) scenario), these Ex-post credits will be entered into the Registry with their own unique serial numbers which identifies them as true-up credits.

In the case where a project generates fewer credits than originally projected (a [true-down](#) scenario) or there is a reversal in carbon removal (i.e. carbon sequestration has been reversed), the associated credits will be cancelled.

Non-retired credits (Ex-ante or Ex-post) from [non-compliant](#) projects will be delisted from the Registry and, at Trinity's discretion, the Project Manager might be restricted from listing any future credits from other projects on the Registry.

13.3 Status of credits

- **Registered (Ex-ante):** projected credits from a [spot](#) or [forward](#) contract that are serialised in the [general registry](#).

- **Pre-validated (Ex-ante):** once evidence is provided for the Baseline, the Mitigation Plan is saved and third-party auditors can access it to [validate](#) it. This status is only applicable to [forward contracts](#).
- **Validated (Ex-ante):** forward contract that has been assessed by the third-party auditors and, thus, it can be made available for sale in the forward market. The buyer of the credits has access to the validation report. This status is only applicable to [forward contracts](#).
- **Registered (Ex-post):** actual credits from an [early action](#) contract that are serialised in the [general registry](#).
- **Available for verification (Ex-post):** credits within a [spot](#) or [forward](#) contract (ready to settle in the spot market) that correspond to Mitigation Practices that belong to the current [Reporting Period](#).
- **Pre-verified (Ex-post):** in order to be verified, evidence must be provided by the Project Manager via Sandy to prove that the Mitigation Practices have taken place to the extent agreed in the Mitigation Plan. Once evidence is provided, the Mitigation Plan is saved and third-party auditors can access it to [verify](#) it.
- **Verified & issues (Ex-post):** carbon credits that have been verified (also called carbon offsets) and, therefore, are issued and can be sold in the spot market. The buyer of the credits has access to the verification certificate and the evidence that was used to get the verification (with personal data redacted).
- **Sold & retired (Ex-post):** the verified credits have been sold, i.e. the Project Manager has received the total purchase price as determined in the Trading Terms. The buyer will be listed as the owner of the credits in the [general registry](#).

13.4 Buffer pool registry

Trinity NCM also manages a separate registry for the shared buffer pool where Ex-post (not Ex-ante) removal credits from all Project Managers are amalgamated together from all projects (but the serial numbers are not amalgamated in order to ensure traceability)

At the end of the contract for a given Project Site, the corresponding buffer pool credits associated with that site are cancelled, so they can not be used as part of the shared pool anymore (unless monitoring remains in place after the end of the contract).

If there is a carbon reversal at a Project Site, Trinity NCM follows this 3-step process:

1. First, we go to the buffer pool registry where we cancel removal credits that belong to the Project Site. These should be equal to 20% of the actual removal credits minus any cancellations done due to previous carbon release associated with the farm or with other farms that have exhausted step 2 below.
2. If the removal credits from step 1 are not enough, we then go to the [general registry](#) to cancel the remaining removal credits from the Project Manager's account (if some or all of them are not sold yet).

3. If the removal credits from steps 1 and 2 are not enough to cover for the carbon release, then we go to the buffer pool registry to extract the necessary amount of removal credits, which is assigned proportionally to the buyer(s) (and we cancel those non-tradable removal credits from the Project Manager's accounts). We do the extraction:
 - a. Selecting all the removal credits that are available in the buffer pool registry starting with those whose Vintage year is the same or later than the Vintage year of the removal credits that we have lost. If that's not enough, we go back in time to choose previous Vintage years.
 - b. We then allocate proportionally to the Project Managers, even if we end up with decimal numbers. This effectively diversifies the buyer's portfolio of credits because they get exposure to all the Project Managers within Sandy.
 - c. The provenance of these removal credits extracted from the buffer pool registry needs to be tracked in case the loop starts again because there is unintentional carbon release in the farms belonging to the new Project Managers.

△ Note that Project Managers are incentivised to sell removal credits because they mitigate the risk that they may be cancelled if the credits in the buffer pool registry are not enough (step 2 above).

The rules of the buffer pool registry aim to [protect](#) both Project Managers and buyers:

- Project Managers will not have to use any cash to replace credits in the buffer pool registry.
- If the shared buffer pool is sufficiently large, buyers are sufficiently protected against carbon reversals, so they do not have to rely solely on insurance to protect against adverse weather events.

13.5 Personal and commercially sensitive information

Project Managers may request to designate portions of the project documentation as personal or commercially sensitive information. This information must be available for review by Trinity NCM and the approved [validation and verification body](#) (with [non-disclosure agreements](#), as necessary), but will not be posted publicly as part of the project documentation on the [general registry](#).

Trinity NCM presumes by default that all project information is not to be available for public scrutiny, unless requested otherwise by the Project Manager. If any verification reports are shared in the public domain, the following type of information will be redacted from any reports that become publicly-available:

- Entity name and contact information
- Land tenure or land ownership type

- Address
- Etc.

Trinity NCM may provide additional information to certified verifiers that come to the [registry](#) to avoid double-counting elsewhere. This is addressed in the “Permitted disclosures and recordkeeping” clause within the “Provision and Use of Data” chapter from the Terms of Use.

14. Aggregation of Project Sites

Project Managers may be able to create efficiencies around reporting and verification by strategically combining a group of projects in a bundle, which is sold in Trinity NCM. Aggregation is also beneficial for buyers as it represents a diversification opportunity.

Trinity NCM determines the characteristics that are as homogeneous as possible (e.g. similar contract duration, similar jurisdiction, similar farming practice, etc.).

As described in the [verification of aggregated projects](#) section, any issuance of carbon credits representing more than 25,000 tonnes of CO₂e per year cannot be aggregated. They shall require an individual verification report.

Note that only [one validation and one verification report](#) are provided per aggregate. This single report will have an addendum with a list of all the farms, which will not be seen by anyone except for Trinity NCM and any qualified inspection.

15. Validation and verification

15.1 Introduction

On an annual basis, Trinity NCM requires validation and verification bodies (VVBs) accredited by a conformity assessment accreditation body that is part of the [International Accreditation Forum](#) to:

- Sign a statement, confirming their lack of conflict of interest with the Project Manager (e.g. no financial interest, no role in developing the project, etc.) by disclosing all relationships, such as familial or fiduciary, within the past 3 years between them on the one hand, and the project and farmer on the other.
- Adhere to Trinity NCM's data privacy policy to ensure that Project Managers maintain the privacy of their data.
- Adhere to the below criteria and processes.

15.2 ISO compliant process

Trinity NCM requires validation of Mitigation Plans and verification of Mitigation Practices in line with [ISO 14064-3:2019](#) standards executed by [ISO 14065:2020](#) accredited validation and verification bodies, ensuring that Project Managers using Sandy construct projects having a "Planning Phase" and an "Implementation Phase" as determined by [ISO 14064-2:2019](#).

The Planning Phase comprises:

- [Determining the Baseline.](#)
- [Obtaining approval of the project.](#)
- [Planning the project.](#)
- [Estimating emissions and removals.](#)
- [Registration of the project.](#)

The Implementation Phase comprises:

- [Initiation of Activities.](#)
- [Periodic verification, certification, and recognition of credits \(during the project\).](#)
- [Final reporting.](#)
- [Verification.](#)
- [Certification.](#)
- [Termination.](#)

15.3 Criteria

VVBs are expected to carry out their work in line with the following assurance, project granularity, availability and response time criteria:

- Assurance:
 - Desktop reviews.
 - Required to provide assurance as to the reasonableness and accuracy of the data that the Project Manager has provided.
- Type of projects:
 - Individual projects: required to undertake verification at least once every 5 years after validation (or at the end of the contract, whichever is the earliest). Verifiers can use their own discretion to determine the data sampling approach.
 - Aggregation of projects: following a risk-based approach. Verifiers can use their own discretion to determine the data sampling approach.
- Availability to conduct validation and verifications: on a rolling basis as and when Project Managers enrol for new contracts or report on their existing contracts.
- Estimated time to respond:
 - Three months or less after [pre-validating Ex-ante credits](#) during the [Enrolment Period](#).
 - Three months or less after [pre-verifying Ex-post credits](#) during the [Reporting Period](#).

Note that the 15th of September of every year is the earliest that a:

- A [pre-validation](#) can be fully completed as it is the start of the [Enrolment Period](#) (to establish a new Baseline and a new Mitigation Plan)
- A [pre-verification](#) can be fully completed as it is the start of the [Reporting Period](#) (to calculate the Ex-post carbon credits).

15.4 Validation vs verification

Validation applies to Ex-ante credits: third-party auditors will validate Ex-ante credits associated with forward contracts (spot contracts are only verified) by assessing the Mitigation Plan formalised by the Project Manager. The [validation report](#) is issued including an assessment of how farmers and land managers will seek financing to implement and maintain the Mitigation Practices.

Verification applies to Ex-post credits and must precede the issuance of any credits:

- For [forward contracts](#), verification takes place in the years that the contract settles in the spot market.

- For [spot contracts](#) that are established at the outset, there is only verification at the end of the harvest year. It would be impractical to perform a validation as well due to time constraints to [enrol](#), [commit](#), implement, [report](#) and verify within a year.

The [verification report](#) is issued including whether the data that the Project Manager submitted via Sandy is reasonable given the operating records (e.g. invoices, receipts, etc.) and any other evidence to which the verifier was granted access by the Project Manager.

15.5 Process for verification of Ex-post credits

15.5.1 Verification of evidence provided during the Enrolment Period

Verifiers will check veracity of the [operational data provided to set the baseline](#) and the [data completeness](#) to mitigate [leakage](#).

If it is difficult for Project Managers to provide enough evidence for the 3 or more years' worth of historical data used in establishing the Baseline, the third-party auditors may have to rely on interviewing the Project Managers to verify the data input for the Baseline.

15.5.2 Verification of evidence provided during the Reporting Period

During every annual [Reporting Period](#), Project Managers submit evidence for the Mitigation Practices that have been implemented via the [reporting](#) screen within their Sandy account. This evidence is then put in a database and an verification admin screen, which is accessed by third-party auditors for verification purposes.

Evidence can be in the form of:

- Timestamped and geolocated pictures and videos.
- Farm operational data from the farm management software.
- Receipts, invoices and bills with an associated spreadsheet that allocates how much of the purchased input has been applied/used in the enterprise(s) in scope for the project plan.
- Soil sampling as explained [below](#).

If verifiers require more evidence, they may contact the Project Manager directly (e.g. via phone call or email).

15.5.3 Controls

The third-party verifier carries out key checks on whether the data that the Project Manager submitted is reasonable, given the operating records (bills, receipts, pictures, etc.) and any other evidence to which the verifier is granted access to.

Sandy may also include controls. For instance:

- If a project has generated an unlikely large number of credits per hectare (e.g., more than 5 credits/hectare).
- Notifications indicating input data that falls out of a reasonable range.
- An audit trail of how many times farmers have input or changed data.

15.5.4 Soil sampling

Both the Baseline during the [Enrolment Period](#) and the carbon calculations in each [reporting period](#) are quantified following biophysical steady state process-based models that take into account soil characteristics, climate and farming practices. In this way, Project Managers can assess their carbon footprint in a holistic fashion (beyond sequestered carbon in the soil), run what-if scenarios, and get a carbon footprint (even if they do not have soil samples available).

However, Project Managers may provide on-site measurements of soil organic carbon stocks at least every 5 years to improve and back test the modelled soil carbon sequestration. We accept two methods LOI (loss on ignition) or DUMAS methods for soil organic matter; for soil organic carbon, we accept most method results.

We recommend leveraging mandatory sampling that may have taken place on the farm, with rigorous stratification, sampling randomization, adequate sampling density to encompass the within-site variation, and sampling depth beyond the top 30 cm to include the entire volume of soil impacted by agricultural activities.

If soil samples are provided, Sandy offers a model-data fusion approach: we take soil sampling information and process it statistically to produce a combined model-data fusion. Typically, the results will be approximately halfway between the model and the sampled data, though the uncertainty in both is reduced. As and where the quantity/quality of the samples is not precise/statistically useful, the method will place more emphasis on the model, and where the sampling data is extensive and of high quality, its influence on the final result will be proportionally greater.

15.6 Verification of aggregated projects

If carbon credits are [aggregated](#), auditors will produce one single validation report and one single verification report. These reports will have an appendix with details of the full list of all the Project Sites within the aggregated project. This appendix will be redacted in any publicly available version of the report.

For aggregation purposes, verifiers will either select a sample of project(s) that will receive an audit, or they will apply a risk analysis to identify the project(s) with the strongest influence over the aggregate project's outcomes. Verifiers can use their own discretion to determine the data sampling approach.

Any issuance of carbon credits representing more than 25,000 tonnes of CO₂e per year cannot be aggregated. They shall require an individual verification report.

15.7 Adherence to integrity standards

Verifiers will also seek evidence around adherence to the following integrity standards:

- Real:
 - Seek evidence that the Mitigation Practices actually occurred in the agreed Project Site and enterprise(s) of the farm.
 - Review the warranties and consent documents signed during the onboarding process.
- Realistic & credible Baseline: seek historical (3-5 year) evidence to minimise the risk that the Baseline calculation is not sound.
- Leakage minimised: seek evidence to minimise the risk that the enterprise(s) in scope are missing material sources of emissions/sequestration.
- Regulatory additionality: seek evidence to minimise the risk that the Mitigation Practices were required by law before or during the enrolment period.
- Financial additionality: seek evidence to minimise the risk of lack of financial additionality. This includes checking that:
 - The Mitigation Practices established during the enrolment period took place after committing to a spot or forward contract. This does not apply to early action contracts; in this case, third-party auditors will verify that practices occurred in the backdated time period stated by the Project Manager.
 - The financial impact assessment is sound, e.g. the stock data to estimate costs is in line with current costs in the market.
- Durability:
 - Seek evidence to minimise the risk that carbon release takes place and/or that the Retention Period is not honoured for Mitigation Practices that generate carbon sequestration (and, therefore, they have to be held on an ongoing basis).
 - Sandy generates soil organic carbon maps by means of remote sensing. This could be used for monitoring purposes, verifying adherence to durability standards at a low cost.
- Do not net harm: seek evidence to minimise the risk that the Mitigation Plan harms communities in the proximity (or as a consequence) of the Project Site.
- No double counting: seek evidence to minimise the risk of enrolment in other carbon payment programmes.
- Alignment with UN SDGs: refer to peer-reviewed literature to minimise the risk that projects are not aligned with one or more SDGs.

15.8 Validation and verification reports

Third-party auditors will provide a report that proves the validation of a project with Ex-ante credits, and a report that proves the verification of Ex-post credits. Once personal and commercially sensitive information has been redacted, these reports will be publicly available in Trinity NCM, so that buyers can look at them.

15.9 Enforcement of the risk management framework

- Ex-ante risk: determine whether a deviation from the Mitigation Plan is related to unintended (e.g. model risk or natural risk) or intended (e.g. contractual risk) reasons, so that the applicable rules from the risk management framework can be applied accordingly.
- Ex-post risk:
 - Identify scenarios that can lead to carbon release corresponding to past removal activities (leveraging the information provided as part of Sandy's reporting module), and determining whether they are related to unintended (e.g. natural risk) or intended (e.g. contractual risk) reasons.
 - If a potential carbon release scenario is identified, qualitatively assess the magnitude (e.g. via a rating that indicates the severity of the scenario). This is to provide Trinity NCM with additional information to quantify the estimated amount of carbon released and replace/cancel credits in the general registry and the buffer pool registry accordingly to compensate for the loss.

15.9.1 Rejected project or practice

The auditors may reject a project and provide a report that states that it is not validated or verified, e.g. due to insufficient evidence, or because evidence suggests the planned practice did not occur.

The report will explain why the project did not pass validation or verification. This will be passed to Trinity NCM, which may cancel the contract (at Trinity NCM's discretion).

15.10 Final verification

At the end of the contract (in the case of a forward contract), there will be a final verification of the project and the generated credits. Once personal and commercially sensitive information has been redacted, the final verification report will be publicly available in Trinity NCM, so that buyers can look at it.

Project Managers must engage with at least two lead auditors over the lifetime of their project, with validation and annual verification completed by one and a final verification of the plan at the end of the contract completed by a different verifier.

15.11 Payment terms

Project Managers pay directly to the third-party verifier for validation and verification purposes. For further detail, please check the "User covenants" clause within the Use of the Platform chapter in the Terms of Use.

